CHAPTER 4

Cash and Internal Controls

Learning Objectives

PART A: INTERNAL CONTROLS

- **LO4–1** Discuss the impact of accounting scandals and the passage of the Sarbanes-Oxley Act.
- **LO4–2** Identify the components, responsibilities, and limitations of internal control.

PART B: CASH

- **LO4–3** Define cash and cash equivalents.
- **LO4–4** Understand controls over cash receipts and cash disbursements.
- **LO4–5** Reconcile a bank statement.
- **LO4–6** Account for employee purchases.

PART C: STATEMENT OF CASH FLOWS

- **LO4–7** Identify the major inflows and outflows of cash.

ANALYSIS: CASH ANALYSIS

- **LO4–8** Demonstrate the link between cash reported in the balance sheet and cash reported in the statement of cash flows.

SELF-STUDY MATERIALS

- Let's Review—Bank reconciliation (p. 195).
- Let's Review—Types of cash flow (p. 200).
- Chapter Framework with questions and answers available (p. 203).
- Key Points by Learning Objective (p. 204).
- Glossary of Key Terms (p. 204).
- Self-Study Questions with answers available (p. 205).
- Videos including Concept Overview, Applying Excel, Let's Review, and Interactive Illustrations demonstrate key topics (Connect).

Feature Story

LIVE NATION ENTERTAINMENT: INTERNAL CONTROLS ARE A HIT

According to research conducted by the Association of Certified Fraud Examiners (ACFE, **www.acfe.com**), U.S. organizations lose an estimated $1 *trillion* (or about 5% of their total revenue) to fraud each year. This occurs despite increased corporate emphasis on antifraud controls and recent legislation to combat fraud. While some employees steal office supplies, inventory, and equipment, the asset most often targeted is cash. Cash fraud includes skimming cash receipts before they are recorded; stealing cash that has already been recorded; and falsely disbursing cash through fraudulent billing, expense reimbursement, or payroll. Companies also lose cash to fraud when customers illegally utilize the products and services of a company without paying. This would include customer theft and illegal access to venues and online service.

Companies that rely heavily on a large number of transactions with customers and vendors, have dispersed operations, and employ many individuals are especially susceptible to fraud. **Live Nation Entertainment** is one of the world's largest live entertainment companies. The company hosts approximately 40,000 events and sells 500,000,000 tickets each year. The company also has more than 10,000 employees, with offices in over 40 countries. With such large and dispersed activities, Live Nation Entertainment faces the considerable challenges of ensuring tickets are sold to all who attend their events, collecting all cash from operators at its broad distribution of venues, and preventing employee theft and misreporting of hours worked.

Momcilog/iStock/Getty Images

The revenue streams generated by admissions and concessions are fully supported by information systems to monitor cash flow and to detect fraud and inventory theft. Simpler approaches to internal control include *separation of duties*. For example, one person sells tickets, another collects the tickets, and another accounts for cash received. This prevents the ticket seller from pocketing a customer's cash and then allowing admission without a ticket being produced. For each event, the number of tickets sold should exactly match the number people attending and the cash collected.

In this chapter, we discuss much more about fraud and ways to prevent it. We will also examine specific internal controls related to cash. At the end of the chapter, we'll analyze the cash balances of Live Nation Entertainment versus **AMC Networks**.

PART A

INTERNAL CONTROLS

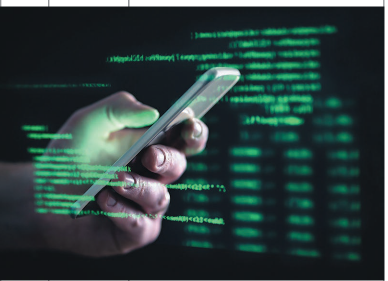
As you saw in Chapters 1 through 3, the key roles of financial accounting are to measure business activities and to communicate those activities to external decision makers. It is important to the usefulness of this measurement/communication process that the numbers provided by financial accountants are *correct.* The decisions of investors and creditors rely on financial statements and other disclosed accounting information to *accurately* portray the activities of the company.

You might be surprised, though, to learn that some companies' published financial statements are *incorrect.* A study published by Audit Analytics (*2019 Financial Restatements Review*) reports 484 restatements in 2019. How could this happen? What can be done to help prevent it?

Companies issue incorrect financial statements for two reasons—errors and fraud. First, companies sometimes make accidental errors in recording (or failing to record) transactions or in applying accounting rules. When these errors are later discovered, companies often have to restate the financial statements affected. Even though these errors may be unintentional, they nevertheless can create confusion and weaken investors' and creditors' confidence in the important information role that accounting serves.

The second reason for incorrect financial accounting information relates to fraud. *Fraud* occurs when a person intentionally deceives another person for personal gain or to damage that person. Specifically related to business activities, the Association of Certified Fraud Examiners (ACFE) defines **occupational fraud** as the use of one's occupation for personal enrichment through the deliberate misuse or misapplication of the employer's resources.

The first source of occupational fraud is misuse of company resources. As discussed in the chapter-opening Feature Story, occupational fraud is a big business, with companies expecting to lose, on average, 5% of their total revenues to fraud each year. For a company like **Live Nation Entertainment**, 5% of total revenues would equal nearly $600 million lost to fraud in a single year. Cash is the asset most commonly involved with fraudulent activity. A significant portion of this chapter discusses the procedures businesses use to maintain control over cash receipts and cash disbursements.



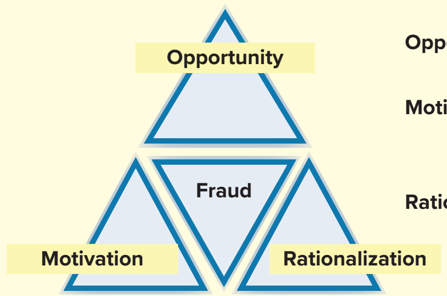
Tero Vesalainen/Shutterstock

The second source of occupational fraud involves financial statement manipulation. Here, those in charge of communicating financial accounting information falsify reports. You may have heard the phrase "cooking the books." The phrase implies that the accounting records ("books") have been presented in an altered form ("cooked"). Some managers are willing to cook the books for personal gain. Motives for such deception might be maximizing their compensation, increasing the company's stock price, and preserving their jobs.

The three elements necessary for every fraud are commonly referred to as the **fraud triangle** and are shown below in Illustration 4–1.

What can be done to help minimize fraud? At least one of the three elements of the fraud triangle must be eliminated. Of the three elements, companies have the greatest ability to eliminate *opportunity.* To eliminate opportunity, companies implement formal procedures known as **internal controls**. These represent a company's plan to (1) safeguard the company's assets and (2) improve the accuracy and reliability of accounting information. In this

ILLUSTRATION 4–1
Fraud Triangle



Opportunity – the situation allows the fraud to occur.

Motivation – someone feels the need to commit fraud, such as the need for money.

Rationalization – justification for the deceptive act by the one committing the fraud.

chapter, we'll discuss the basic principles and procedures of companies' internal controls (with a deeper look at cash controls). The quality of internal controls directly affects the quality of financial accounting.

Accounting Scandals and Response by Congress

■ **LO4–1**
Discuss the impact of accounting scandals and the passage of the Sarbanes-Oxley Act.

Managers are entrusted with the resources of both the company's lenders (liabilities) and its owners (stockholders' equity). In this sense, managers of the company act as stewards or caretakers of the company's assets. However, in recent years some managers shirked their ethical responsibilities and misused or misreported the company's funds. In many cases, top executives misreported accounting information to cover up their company's poor operating performance. Such fraudulent activity is costly: The ACFE reports that the median loss caused by fraudulent financial statement schemes, for example, is $975,000 per instance. As you become more familiar with specific accounting topics throughout the remainder of this book, you'll begin to understand how amounts reported in the financial statements can be manipulated by managers.

Two of the highest-profile cases of accounting fraud in U.S. history are the collapses of **Enron** and **WorldCom**. Enron used questionable accounting practices to avoid reporting billions in debt and losses in its financial statements. WorldCom misclassified certain expenditures to overstate assets and profitability by $11 billion. Both companies hoped to fool investors into overvaluing the company's stock. Other common types of financial statement fraud include creating fictitious revenues, improperly valuing assets, hiding liabilities, and mismatching revenues and expenses.

As the Enron and WorldCom frauds (as well as several others) were being uncovered in 2001 and 2002, the stock prices of these companies plummeted. Investors lost nearly $200 billion as a result. Employees of these companies also suffered. Both firms declared bankruptcy, resulting in employee termination; reduced salaries and increased workloads for those who were left; and loss of employee retirement funds, stock options, and health benefits.

SARBANES-OXLEY ACT OF 2002

In response to these corporate accounting scandals and public outrage over seemingly widespread unethical behavior of top executives, Congress passed the **Sarbanes-Oxley Act**, also known as the *Public Company Accounting Reform and Investor Protection Act of 2002* and commonly referred to as *SOX*. SOX applies to all companies that are required to file financial statements with the SEC and represents one of the greatest reforms in business practices in U.S. history. The act established a variety of guidelines related to auditor–client relations and internal control procedures. Illustration 4–2 provides an overview of the major provisions of SOX, including the creation of the Public Company Accounting Oversight Board (PCAOB) to oversee audits of public companies.

The last provision listed in Illustration 4–2, internal controls under Section 404, requires company management and auditors to document and assess the effectiveness of a company's internal controls—processes that could affect financial reporting. PCAOB chairman William McDonough explained the significance of this part of the law: "In the past, internal controls were merely considered by auditors; now they will have to be tested and examined in detail" (**PCAOBUS.org**, June 18, 2004). Whether you are an investor, an employee, a manager, or an auditor, understanding a company's internal controls is important.

KEY POINT

The accounting scandals in the early 2000s prompted passage of the Sarbanes-Oxley Act (SOX). Among other stipulations, SOX sets forth a variety of guidelines related to auditor–client relations and additional internal controls. Section 404, in particular, requires company management and auditors to document and assess the effectiveness of a company's internal controls.

ILLUSTRATION 4–2

Major Provisions of the Sarbanes-Oxley Act of 2002

Oversight board	The Public Company Accounting Oversight Board (PCAOB) has the authority to establish standards dealing with auditing, quality control, ethics, independence, and other activities relating to the preparation of audited financial reports. The board consists of five members who are appointed by the Securities and Exchange Commission.
Corporate executive accountability	Corporate executives must personally certify the company's financial statements and financial disclosures. Severe financial penalties and the possibility of imprisonment are consequences of fraudulent misstatement.
Nonaudit services	It's unlawful for the auditors of public companies to also perform certain nonaudit services, such as investment advising, for their clients.
Retention of work papers	Auditors of public companies must retain all work papers for seven years or face a prison term for willful violation.
Auditor rotation	The lead auditor in charge of auditing a particular company (referred to as the *audit partner)* must rotate off that company within five years and allow a new audit partner to take the lead.
Conflicts of interest	Audit firms are not allowed to audit public companies whose chief executives worked for the audit firm and participated in that company's audit during the preceding year.
Hiring of auditor	Audit firms are hired by the audit committee of the board of directors of the company, not by company management.
Internal control	Section 404 of the act requires (a) that company management document and assess the effectiveness of all internal control processes that could affect financial reporting and (b) that company auditors express an opinion on whether management's assessment of the effectiveness of internal control is fairly stated. Smaller companies are exempt from requirement (b).

Framework for Internal Control

■ **LO4–2**
Identify the components, responsibilities, and limitations of internal control.

As noted earlier, internal control is a company's plan to (1) safeguard the company's assets and (2) improve the accuracy and reliability of accounting information. Effective internal control builds a wall to prevent misuse of company funds by employees and fraudulent or errant financial reporting. Strong internal control systems allow greater reliance by investors on reported financial statements.

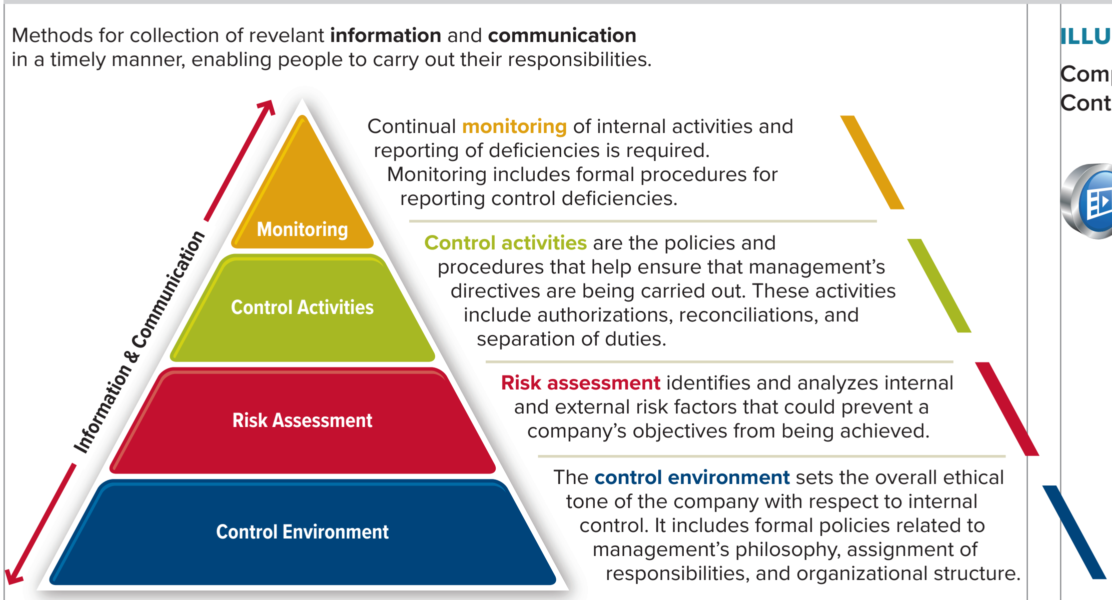
COMPONENTS OF INTERNAL CONTROL

A framework for designing an internal control system was provided by the *Committee of Sponsoring Organizations (COSO)* of the Treadway Commission. COSO (**www.coso.org**) is dedicated to improving the quality of financial reporting through, among other things, effective internal controls. COSO suggests that internal control consists of five components, displayed in Illustration 4–3.

Internal control components are built on the foundation of the ethical tone set by top management in its control environment. From there, management assesses risks, implements specific control activities, and continuously monitors all systems. Running throughout this structure is the need for timely information and communication. Employees at all levels must understand the importance of high-quality information. Lower-level employees must report information accurately and in a timely manner to those higher in the organization. Top executives of a company then must effectively communicate this information to external parties such as investors and creditors through financial statements.

ILLUSTRATION 4–3

Components of Internal Control



To see an example of how internal controls are linked to the information provided in financial statements, let's look at the description given by Live Nation Entertainment in its annual report (see Illustration 4–4).

ILLUSTRATION 4–4

Live Nation Entertainment's Discussion of Internal Controls over Financial Reporting

LIVE NATION ENTERTAINMENT
Notes to the Financial Statements (excerpt)

Our management, including our Chief Executive Officer and Chief Financial Officer, does not expect that our disclosure controls and procedures or internal controls will prevent all possible errors and fraud. Our disclosure controls and procedures are, however, designed to provide reasonable assurance of achieving their objectives, and our Chief Executive Officer and Chief Financial Officer have concluded that our disclosure controls and procedures are effective at that reasonable assurance level.

Movie Theatre Example. Let's look at how the five components of internal control apply in actual practice. Here, we apply them to operating a movie theatre.

The overall attitudes and actions of management greatly affect the *control environment.* If employees notice unethical behavior or comments by management, they are more likely to behave in a similar manner, wasting the company's resources. Wouldn't you be more comfortable investing in or lending to a movie theatre if it were run by a highly ethical person, rather than someone of questionable character?

Risk assessment includes careful consideration of internal and external risk factors. Internal risks include issues such as unsafe lighting, faulty video projectors, unsanitary bathrooms, and employee incompetence with regard to food preparation. Common examples of external risks include a vendor supplying low-quality popcorn, moviegoers' security in the parking lot, or perhaps the decline in customer demand due to uncontrollable factors such as the COVID-19 outbreak or external competition from on-demand services at home. These internal and external risk factors put the company's objectives in jeopardy.

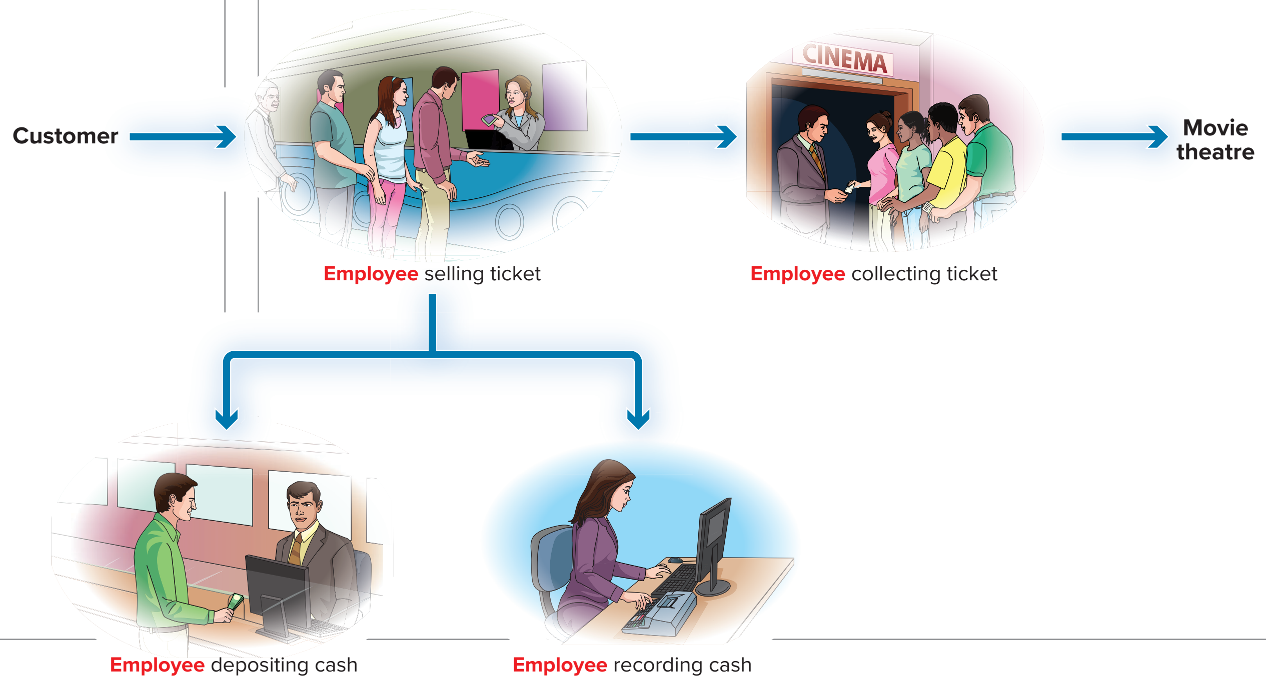
Control activities include a variety of policies and procedures used to protect a company's assets. There are two general types of control activities: preventive and detective. *Preventive controls* are designed to keep errors or fraud from occurring in the first place. *Detective controls* are designed to detect errors or fraud that already have occurred.

Examples of preventive controls include:

1. **Separation of duties.** A set of procedures intended to separate employees' duties for authorizing transactions, recording transactions, and controlling related assets is referred to as **separation of duties**. As shown in Illustration 4–5, when a customer comes into the theatre to watch a movie, the employee selling the movie ticket should not also be the employee in charge of collecting the tickets. The employee recording the cash sale should not also have direct access to company cash by filling in as a ticket cashier or being responsible for the daily cash deposits.

   Fraud is prevented by not allowing the same person to be responsible for both controlling the asset and accounting for the asset. This applies not only to cash but other assets as well. For example, employees who have physical control of theatre inventory (candy bars, T-shirts, and so on) should not also be in charge of accounting for that inventory.
2. **Physical controls** over assets and accounting records. Each night, money from ticket sales should be placed in the theatre's safe or deposited at the bank. Important documents should be kept in fireproof files, and electronic records should be backed up daily and require user-ID and password for access. Concession supplies should be kept in a locked room with access allowed only to authorized personnel.
3. **Proper authorization** to prevent improper use of the company's resources. The theatre should establish formal guidelines on how to handle cash receipts and make purchases. For example, only management should be authorized to make purchases over a certain amount.
4. **Employee management.** The company should provide employees with appropriate guidance to ensure they have the knowledge necessary to carry out their job duties. Employees should be made fully aware of the company's internal control procedures, ethical responsibilities, and channels for reporting irregular activities.
5. **E-commerce controls.** E-commerce refers to the wide range of electronic activities of a company, such as buying and selling over the Internet, digital information processing, and electronic communication. Given the tremendous growth of e-commerce activities in recent years, internal controls over these activities are becoming increasingly important. For example, only authorized personnel should have passwords to conduct electronic business transactions. The company should maintain and systematically check the firewall settings to prevent unauthorized

ILLUSTRATION 4–5 Separation of Duties



access to accounts and credit card numbers. All employees should update the system's antivirus software periodically.

Examples of detective controls include:

1. **Reconciliations.** Management should periodically determine whether the amount of physical assets of the company (cash, supplies, inventory, and other property) agree with the accounting records. For example, accounting personnel should routinely reconcile the company's cash records with those of its bank, and any discrepancy should be investigated. Later in this chapter we'll see an example of how to prepare a bank reconciliation for Starlight Productions.
2. **Performance reviews.** The actual performance of individuals or processes should be checked against their expected performance. For example, the amount of concessions sold should be compared to the number of tickets sold over a period of time. If concession sales are lower than expected for a given number of tickets, employees could be wasting food, stealing snacks, or giving it to their friends for free. Alternatively, vendors may be supplying lower-quality food, driving down sales. Management may also wish to evaluate the overall performance of the theatre by comparing ticket sales for the current year with ticket sales for the previous year.
3. **Audits.** Many companies, such as those companies listed on a stock exchange, are required to have an independent auditor attest to the adequacy of their internal control procedures. Other companies can voluntarily choose each year to have an auditor assess their internal control procedures to detect any deficiencies or fraudulent behavior of employees.

Monitoring of internal controls needs to occur on an ongoing basis. The theatre manager needs to actively review daily operations to ensure that control procedures work effectively. For instance, the manager should compare daily cash from ticket sales with the number of tickets issued, compare concession sales with units purchased, and make sure employees are paid only for actual hours worked.

Information and communication depend on the reliability of the accounting information system itself. If the accountant's office has papers scattered everywhere, and you learn the company still does all its accounting by hand without a computer, wouldn't you, as an investor or lender, be a bit worried? A system should be in place to ensure that current transactions of the company are reflected in current reports. Employees also should be aware of procedures in place to deal with any perceived internal control failures. For example, an anonymous tip hotline should be in place to encourage communication about unethical activities, such as an employee giving concession items for free to her friends. Historically, employee tips have been the most common means of detecting employee fraud.

RESPONSIBILITIES FOR INTERNAL CONTROL

Everyone in a company has an impact on the operation and effectiveness of internal controls, but **the top executives are the ones who must take final responsibility for their establishment and success.** The CEO and CFO sign a report each year assessing whether the internal controls are adequate. Section 404 of SOX requires not only that companies document their internal controls and assess their adequacy, but that the company's auditors provide an opinion on management's assessment. A recent survey by Financial Executives International reports that the average total cost to a public company in complying with Section 404 is nearly $4 million.

The Public Company Accounting Oversight Board (PCAOB) further requires the auditor to express its own opinion on whether the company has maintained effective internal control over financial reporting. Illustration 4–6 provides an excerpt from Live Nation Entertainment's auditor's report.

LIMITATIONS OF INTERNAL CONTROL

Unfortunately, even with the best internal control systems, financial misstatements can occur. While better internal control systems will more likely detect operating and reporting errors, no internal control system can turn a bad employee into a good one. No internal control system is perfect.

ILLUSTRATION 4–6

Excerpt from Live Nation Entertainment's Auditor's Report Related to Effectiveness of Internal Controls

LIVE NATION ENTERTAINMENT
Auditor's Report (excerpt)

We have audited Live Nation Entertainment, Inc.'s internal control over financial reporting as of December 31, 2019, based on criteria established in the Internal Control—Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission (2013 framework) (the COSO criteria). In our opinion, Live Nation Entertainment, Inc. (the Company) maintained, in all material respects, effective internal control over financial reporting as of December 31, 2019, based on the COSO criteria.

Internal control systems are especially susceptible to collusion. **Collusion** occurs when two or more people act in coordination to circumvent internal controls. Going back to our movie theatre example, if the ticket cashier and the ticket taker, or the ticket cashier and the accountant, decide to work together to steal cash, theft will be much more difficult to detect. Fraud cases that involve collusion are typically several times more severe than are fraud cases involving one person. This suggests that collusion is effective in circumventing control procedures.

Top-level employees who have the ability to override internal control features also have opportunity to commit fraud. For example, managers may be required to obtain approval from the chief financial officer (CFO) for all large purchases. However, if the CFO uses the company's funds to purchase a boat for personal use at a lake home, fewer controls are in place to detect this misappropriation. Even if lower-level employees suspect wrongdoing, they may be unwilling to confront their boss about the issue.

Finally, because there are natural risks to running any business, **effective internal controls and ethical employees alone cannot ensure a company's success, or even survival.** Most companies recognize the limitations of internal controls and provide an explicit discussion of these issues in their annual report.

KEY POINT

Internal control refers to a company's plan to improve the accuracy and reliability of accounting information and safeguard the company's assets. Five key components to an internal control system are (1) control environment, (2) risk assessment, (3) control activities, (4) monitoring, and (5) information and communication. Control activities include those designed to prevent or detect fraudulent or erroneous behavior.

Decision Point

Question	Accounting information	Analysis
Does the company maintain adequate internal controls?	Management's discussion, auditor's opinion	If management or the auditor notes any deficiencies in internal controls, financial accounting information may be unreliable.

PART B

CASH

Among all of the company's assets, cash is the one most susceptible to employee fraud. The obvious way employees steal cash is by physically removing it from the company, such as pulling it out of the cash register and walking out the door. However, there are other, less obvious ways to commit fraud with a company's cash. An employee could falsify documents, causing the company to overpay the employee for certain expenses, issue an inflated paycheck, or make payment to a fictitious company. Because of these possibilities, companies develop strict procedures to maintain control of cash. Before discussing some of these controls, let's first understand what "cash" includes.

Cash and Cash Equivalents

■ LO4–3
Define cash and cash equivalents.

The amount of **cash** held by a company is reported in its balance sheet. This amount includes currency, coins, and balances in savings and checking accounts, as well as items acceptable for deposit in these accounts, such as checks received from customers.

In addition, when a company sells products or services to customers who use *credit cards* or *debit cards,* the cash to be collected from those sales is nearly always included in the total cash balance immediately. The reason is that cash from those transactions typically will be deposited electronically into the company's bank account within a few days.

The balance of cash also includes **cash equivalents**, which are defined as short-term investments that have a maturity date no longer than three months *from the date of purchase.* Common examples of such investments are money market funds, Treasury bills, and certificates of deposit.

The important point to understand is that all forms of cash and cash equivalents usually are combined and reported as a single asset in the balance sheet of most companies. Illustration 4–7 demonstrates the components that make up the total cash balance. This balance is usually referred to as "cash" or "cash and cash equivalents."

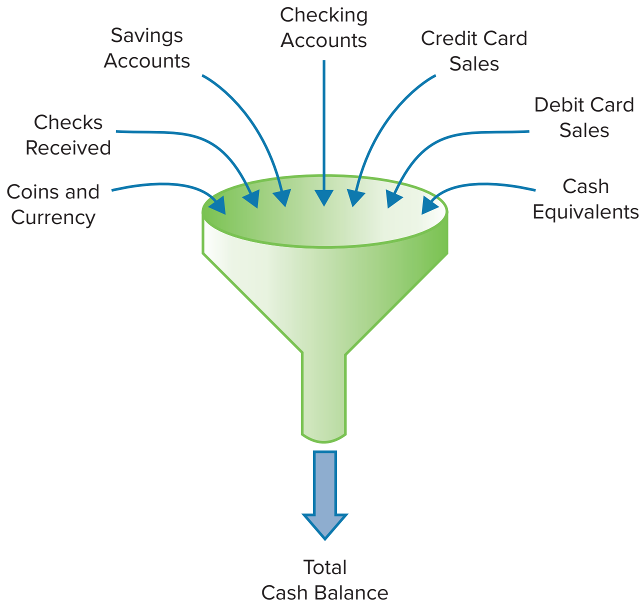
Decision Maker's Perspective

How Much Cash Is Enough?

Investors and creditors closely monitor the amount of cash a company holds. The company needs enough cash, or enough other assets that can quickly be converted to cash, to pay obligations as they become due. Available cash also helps a company respond quickly to new, profitable opportunities before competitors do.

On the other hand, having too much cash leads to inefficient use of funds and could signal that a company's management does not see additional opportunities for profitable expansion. In recent years, cash holdings of U.S. companies have increased enormously. This is partly due to the financial crisis of 2008. As uncertainty in the business environment increases, companies hold more cash to prevent bankruptcy caused by short-term negative shocks in the business cycle.

ILLUSTRATION 4–7
Components of the Total Cash Balance



KEY POINT

Cash includes coins and currency, checks received, and balances in savings and checking accounts. The cash balance also includes credit card and debit card sales, as well as cash equivalents, defined as investments that mature within three months from the date of purchase (such as money market funds, Treasury bills, and certificates of deposit).

Cash Controls

■ **LO4–4**
Understand controls over cash receipts and cash disbursements.

Management must safeguard all assets against possible misuse. Again, because cash is especially susceptible to theft, internal control of cash is a key issue.

CONTROLS OVER CASH RECEIPTS

Companies collect payments from customers in a variety of ways.

- **Cash and checks ("paper").** Both forms of payment were once very common but are on the decline, especially with younger customers.
- **Credit cards and debit cards ("plastic").** Credit cards offer the advantage of allowing customers to purchase on credit, while debit cards withdraw funds immediately from the customer's bank account.
- **Mobile payments.** Customers can electronically store credit cards and debit cards on their mobile device, eliminating the need to carry a physical wallet.
- **Electronic funds transfers (EFTs).** Customers often transfer funds directly from their bank account to the company's bank. This form of payment is especially useful for recurring costs, such as monthly rent and utilities. The automation saves time, helps to prevent late payment, and avoids the need to handle cash.
- **Prepaid cards.** Often referred to as gift cards, customers use these much like debit cards, except that expenditures are applied to the card's balance (not a bank account balance). The ease of transferring funds from one individual to the next is why these are easy gifts.
- **Cryptocurrencies.** Cryptocurrencies represent digital money that allows peer-to-peer transactions without the need for a third-party bank or credit card company. While relatively few businesses currently accept cryptocurrencies, these types of payment seem more likely in the future, as blockchain technology is expected to help prevent fraud.

Acceptance of Cash and Checks. While it might surprise you, many companies still receive cash and checks. These forms of payment are more susceptible to theft, fraud, and being lost or destroyed. For this reason, companies have established specific controls over their receipt:

1. Open mail each day, and make a list of cash and checks received, including the amount and payer's name.
2. Designate an employee to deposit cash and checks into the company's bank account each day, different from the person who receives cash and checks.
3. Have another employee record cash receipts in the accounting records as soon as possible. Verify cash receipts by comparing the bank deposit slip with the accounting records.
4. Accept credit cards or debit cards, to limit the amount of cash employees handle.

Whether a customer uses cash or a check to make a purchase, the company records the transaction as a cash sale. Let's assume a local theatre sells tickets for the entire day totaling $3,000. Some customers pay cash for those tickets, while others use a check. Regardless of which method of payment customers use, the theatre records all of those ticket sales as cash sales.

	Debit	Credit
Cash	**3,000**	
Service Revenue		**3,000**
(Sell tickets and receive cash or check)		

Acceptance of Credit Cards. The acceptance of credit cards provides an additional control by reducing employees' need to directly handle cash. The term *credit card* is derived from the fact that the issuer, such as **Visa**® or **MasterCard**®, extends credit (lends money) to the cardholder each time the cardholder uses the card. Meanwhile, the credit card company deposits cash in the company's bank for the amount of the sale, less service fees.

Credit card companies earn revenues primarily in two ways. First, the cardholder has a specified grace period before he or she has to pay the credit card balance in full. If the balance is not paid by the end of the grace period, the issuing company will charge a fee (interest). Second, credit card companies charge the *retailer,* not the customer, for the use of the credit card. This charge generally ranges from 2% to 4% of the amount of the sale.

For example, suppose a movie theatre accepts MasterCard as payment for $2,000 worth of movie tickets, and MasterCard charges the movie theatre a service fee of 3% (or $60 on sales of $2,000). Moviegoers don't pay cash to the theatre at the time of sale, but MasterCard deposits cash, less the service fee expense, into the theatre's account, usually within 1–3 days. Therefore, the theatre records the $2,000 credit card transaction as $1,940 cash received and $60 service fee expense.

	Debit	Credit
Cash	**1,940**	
Service Fee Expense	**60**	
Service Revenue		**2,000**
(Sell tickets with credit card and 3% service fee)		

From the seller's perspective, the only difference between a cash sale and a credit card sale is that the seller must pay a fee to the credit card company for allowing the customer to use a credit card.

Decision Point

Question	Accounting information	Analysis
Should the company allow its customers to pay by using credit cards?	Credit sales, service fee expense, internal controls	When the benefits of credit card use (increased sales, reduced handling of cash by employees) exceed the costs (service fee expense and credit card fraud), the company benefits.

Acceptance of Debit Cards. *Debit cards* also provide an additional control for cash receipts. Like credit cards, debit cards offer customers a way to purchase goods and services without a physical exchange of cash. They differ, however, in that most debit cards (sometimes referred to as *check cards*) work just like a check and withdraw funds directly from the cardholder's bank account at the time of use. (Recall that credit cards don't remove cash from the cardholder's account after each transaction.)

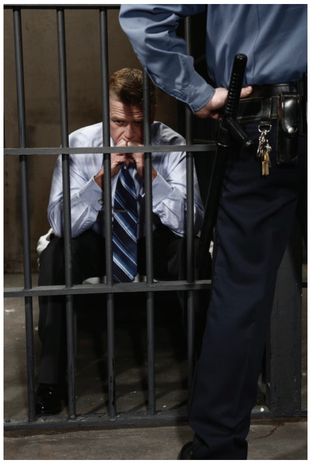
Similar to credit cards, the use of debit cards by customers results in a fee being charged to the retailer. However, the fees charged for debit cards are typically much lower than those charged for credit cards. Debit card transactions are recorded similar to credit card transactions.

Mobile payments and electronic funds transfers are also recorded as cash receipts, similar to the discussion above, and often include service fees. The way companies account for prepaid cards (gift cards) differs somewhat because the company receives cash ahead of providing the good or service. We'll discuss these transactions in Chapter 8.

COMMON MISTAKE

The term *debit card* can cause some confusion for someone in the first accounting course. Throughout this course, we refer to an increase in cash as a *debit* to cash. However, using your debit card will result in a decrease in your cash account. The term *debit card* refers to the bank's liability to the company being decreased (debited) when the company uses a debit card. Don't let this confuse you.

ETHICAL DILEMMA



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Suppose that you were sent to prison for a crime you did not commit. While in prison, the warden learns that you have taken financial accounting and are really good at "keeping the books." In fact, you are so good at accounting that you offer to teach other inmates basic financial skills that they'll use someday after being released.

However, the warden plans to use his position of authority at the prison to steal money. He uses prisoners as low-cost labor to do projects around town. Because other legitimate companies cannot compete with these low costs, they bribe the warden *not* to bid on jobs. The warden asks you to use your accounting skills to participate in a financial scam by falsifying documents and creating a false set of accounting records that will allow the warden's bribes to go undetected by state prison authorities. In other words, he wants you to "cook the books."

When you object to helping with this scam, the warden threatens to end your tutoring sessions with other inmates and sentence you to solitary confinement. To further sway your decision, he promises that if you'll help, he'll make your prison life easy by giving you special meals and other favors.

What would you do in this situation? If you help the warden steal money, you benefit personally, and the other prisoners benefit by your continued tutoring sessions. However, the warden physically abuses some of the prisoners, and helping him steal money means that he'll remain in his position for a long time, continuing his abusive behavior.

To see how Tim Robbin's character handled this situation, check out the movie *The Shawshank Redemption.*

CONTROLS OVER CASH DISBURSEMENTS

Managers should design proper controls for cash disbursements to prevent any unauthorized payments and ensure proper recording. Consistent with our discussion of cash receipts, cash disbursements include not only disbursing physical cash, but also writing checks and using credit cards and debit cards to make payments. All these forms of payment constitute cash disbursement and require formal internal control procedures. Common controls over cash disbursements include the following:

1. Make all disbursements, other than very small ones, by check, debit card, or credit card. This provides a permanent record of all disbursements.
2. Authorize all expenditures before purchase and verify the accuracy of the purchase itself. The employee who authorizes payment should not also be the employee who prepares the check.
3. Make sure checks are serially numbered and signed only by authorized employees. Require two signatures for larger checks.
4. Periodically compare amounts shown in the debit card and credit card statements with purchase receipts. The employee verifying the accuracy of the debit card and credit card statements should not also be the employee responsible for actual purchases.
5. Set maximum purchase limits on debit cards and credit cards. Give approval to purchase above these amounts only to upper-level employees.
6. Employees responsible for making cash disbursements should not also be in charge of cash receipts.

When the movie theatre pays $1,000 to advertise its show times, it records the following transaction, regardless of whether it pays with cash, a check, or a debit card.

	Debit	Credit
Advertising Expense	**1,000**	
Cash		**1,000**
(Purchase advertising with cash, check, or debit card)		

Because credit cards allow the purchaser to delay payment for several weeks or even months, if the theatre uses a credit card to pay for the $1,000 worth of advertising, it would record the purchase as follows.

	Debit	Credit
Advertising Expense	**1,000**	
Accounts Payable		**1,000**
(Purchase advertising with credit card)		

Smaller companies often use credit cards to make purchases, whereas larger companies buy on account (or on credit). Both result in payment by the company being somewhat delayed, and therefore both types of purchases result in Accounts Payable being recorded. In addition, in practice when we record Accounts Payable, we would also indicate the specific credit card or specific vendor that is owed.

KEY POINT

Because cash is the asset of a company most susceptible to employee fraud, controls over cash receipts and cash disbursements are an important part of a company's overall internal control system. Important controls over cash receipts include separation of duties for those who handle cash and independent verification of cash receipts. Important controls over cash disbursements include payment by check, credit card, or debit card, separation of duties, and various authorization and documentation procedures.

Bank Reconciliation

■ **LO4–5**
Reconcile a bank statement.

Another important control used by nearly all companies to help maintain control of cash is a bank reconciliation. A **bank reconciliation** matches the balance of cash in the bank account with the balance of cash in the company's own records. Differences in these two balances can occur because of either timing differences or errors.

Timing differences **in cash occur when the company records transactions either before or after the bank records the same transactions.** For example, when a company receives cash for selling products and services, the company records an increase to cash immediately. The bank, however, doesn't record an increase until the cash is later deposited.

Other times, it's the bank that is the first to record a transaction. For example, banks may charge service fees for a variety of items. These fees immediately reduce the bank's record of the company's balance for cash. However, the company may not be immediately aware of these fees.

Errors **can be made either by the company or its bank and may be accidental or intentional.** An *accidental* error might occur if the company mistakenly were to record a payment for $117 as $171 in its records, or if the bank improperly processed a deposit of $1,100 as a $1,010 deposit. An *intentional* error is the result of theft. If the company records a daily deposit of $5,000 but an employee deposits only $500 into the bank account and pockets the rest, the bank reconciliation will reveal the missing $4,500. It is the *possibility* of these errors, or even outright fraudulent activities, that makes the bank reconciliation a useful cash control tool. That's why bank reconciliations are prepared frequently by most companies.

Starlight Productions Example. To see how a bank reconciliation is prepared, we will use the monthly record of the company's activity from the bank, called a *bank statement*, and we will use the monthly activity from the company, called *cash receipts* and *cash disbursements*. Let's start by examining those particular records of Starlight Productions for the month of March.

At the end of March, Starlight's own record of cash activity reveals a cash balance of $34,600 (see Illustration 4–8). Starlight's monthly bank statement, however, shows the bank's cash balance at the end of March is $26,400 (see Illustration 4–9). Why do these balances differ? To ensure that all cash transactions have been properly recorded, we need to reconcile these two balances by identifying (1) timing differences created by cash activity reported by either First Bank or Starlight but not recorded by the other and (2) any errors.

ILLUSTRATION 4–8
Company Records of Cash Activities

STARLIGHT PRODUCTIONS
Cash Account Records
March 1, 2024, to March 31, 2024

Cash Receipts			Cash Disbursements			
Date	**Description**	**Amount**	**Date**	**Description**	**Memo**	**Amount**
3/5	Sales	$ 3,600	3/1	EFT	Salaries	$ 7,200
3/12	Sales	5,900	3/5	EFT	Rent	4,500
3/16	Sales	4,200	3/10	DC	Advertising	3,000
3/20	Sales	7,400	3/17	CHK 294	Supplies	2,700
3/24	Sales	6,300	3/23	DC	Repairs	2,100
3/30	Sales	8,500	3/28	CHK 295	Insurance	5,400
		$35,900				$24,900

SUMMARY OF TRANSACTIONS

Beginning Cash Balance March 1, 2024	+	Cash Receipts	−	Cash Disbursements	=	Ending Cash Balance March 31, 2024
$23,600		$35,900		$24,900		$34,600

ILLUSTRATION 4–9
Bank Statement

P.O. Box 26788
Odessa, TX 79760
(432) 799-BANK

First Bank
A Name You Can Trust

Member FDIC

Account Holder: Starlight Productions
221B Baker Street
Odessa, TX 79760

Account Number: 4061009619
Statement Date: March 31, 2024

Account Summary

Beginning Balance March 1, 2024	Deposits and Credits No.	Deposits and Credits Total	Withdrawals and Debits No.	Withdrawals and Debits Total	Ending Balance March 31, 2024
$23,600	4	$29,600	8	$26,800	$26,400

Account Details

Deposits and Credits			Withdrawals and Debits		
Date	Amount	Description	Date	Amount	Description
3/8	$3,600	DEP	3/1	$ 7,200	EFT
3/14	5,900	DEP	3/5	4,500	EFT
3/19	4,200	DEP	3/10	3,300	DC
3/22	7,400	DEP	3/21	2,700	CHK 294
3/26	6,300	DEP	3/23	2,100	DC

ILLUSTRATION 4–9
Continued

Account Details

Deposits and Credits			Withdrawals and Debits		
Date	Amount	Description	Date	Amount	Description
3/29	2,000	NOTE	3/27	4,100	NSF
3/29	200	INT	3/31	2,800	SF
			3/31	100	
	$29,600			$26,800	

Desc. **DEP** Customer deposit; **NOTE** Note collected; **EFT** Electronic funds transfer; **INT** Interest earned; **CHK** Customer check; **DC** Debit card; **SF** Service fees; **NSF** Nonsufficient funds

COMMON MISTAKE

Notice that bank statements refer to an increase (or deposit) in the cash balance as a *credit* and a decrease (or withdrawal) as a *debit*. This terminology is the opposite of that used in financial accounting, where *debit* refers to an increase in cash and *credit* refers to a decrease in cash. The reason for the difference in terminology is a difference in perspective. When a company makes a deposit, it views this as an increase to cash, so it records a debit to the Cash account. However, the bank views this same deposit as an increase in the amount owed to the company, or a liability, which is recorded as a credit. Similarly, a withdrawal of cash from the bank is viewed by the company as a decrease to its Cash account, so it is recorded with a credit, but the bank views this withdrawal as a decrease to the amount owed to the company, so it debits its liability.

Reconciling the bank account involves the following three steps:

1. Reconcile the **bank's** cash balance.
2. Reconcile the **company's** cash balance.
3. Update the company's Cash account by recording items identified in step 2.

STEP 1: RECONCILE THE BANK'S CASH BALANCE

Illustration 4–10 highlights the *differences* in cash collections reported in the company records and those reported in the bank statement. The differences are circled in red. When preparing the bank reconciliation, we need to focus only on those items. The amounts *not circled* have been recorded by both the company and the bank, so these items are already reconciled and therefore do not need further attention.

In step 1, we reconcile the *bank's* cash balance by determining which cash transactions have been recorded by the company but not yet recorded by the bank. As shown on the left

ILLUSTRATION 4–10
Differences in Cash Collections

Amounts circled in red are used to prepare the bank reconciliation.

Company Records: Cash Receipts			Bank Statement: Deposits and Credits		
Date	Description	Amount	Date	Amount	Desc.
3/5	Sales	$3,600	3/8	$3,600	DEP
3/12	Sales	5,900	3/14	5,900	DEP
3/16	Sales	4,200	3/19	4,200	DEP
3/20	Sales	7,400	3/22	7,400	DEP
3/24	Sales	6,300	3/26	6,300	DEP
3/30	Sales	8,500	3/29	2,000	NOTE
			3/29	200	INT

Deposit Outstanding not in bank statement

Cash increases not in company records side of Illustration 4–10, Starlight's records reveal that cash of $8,500 has been received by the company but is not yet reflected as an increase in the bank's cash balance by the end of March. These are known as **deposits outstanding**. Deposits outstanding cause the bank's balance to be less than the company's balance of cash. [Note: We'll address the items circled in the bank statement in step 2 below.]

Now let's compare Starlight's cash disbursements to the bank statement's list of withdrawals and debits in Illustration 4–11.

ILLUSTRATION 4–11
Differences in Cash Payments

Amounts circled in red are used to prepare the bank reconciliation.

Company Records — Cash Disbursements

Date	Desc.	Memo	Amount
3/1	EFT	Salaries	$7,200
3/5	EFT	Rent	4,500
3/10	DC	Advertising	3,000
3/17	CHK 294	Supplies	2,700
3/23	DC	Repairs	2,100
3/28	CHK 295	Insurance	5,400

Checks Outstanding not in bank statement

Bank Statement — Withdrawals and Debits

Date	Amount	Desc.
3/1	$7,200	EFT
3/5	4,500	EFT
3/10	3,300	DC
3/21	2,700	CHK 294
3/23	2,100	DC
3/27	4,100	EFT
3/31	2,800	NSF
3/31	100	SF

Company error = $300

Cash decreases not in company records

The company records show that the company has written two checks during the month of March, but only check #294 is shown in the bank statement. This means check #295 (for $5,400) remains outstanding and has not yet been subtracted from the bank's balance. This is an example of **checks outstanding**. Checks outstanding cause the bank's balance to be more than the company's balance of cash. (Notice also that a debit card (DC) transaction was incorrectly recorded by the company for $3,000 instead of $3,300. We'll address this $300 company error and other items circled in the bank statement in step 2.)

Starlight's bank reconciliation is shown in Illustration 4–12. For now, look only at the left side. **We adjust the bank's cash balance per bank statement by adding deposits outstanding**

ILLUSTRATION 4–12 Bank Reconciliation

STARLIGHT Productions
Bank Reconciliation
March 31, 2024

Bank's Cash Balance		Company's Cash Balance	
Per bank statement	$26,400	Per general ledger	$34,600
Deposits outstanding	8,500	Note received	2,000
		Interest received	200
Checks outstanding	(5,400)	EFT for utilities	(4,100)
		NSF check from customer	(2,800)
		Service fee	(100)
		Corrected advertising expense	(300)
Bank balance per reconciliation	$29,500	Company balance per reconciliation	$29,500

Step 3: Update company records

Step 1 **Reconciled** **Step 2**

and subtracting checks outstanding. The bank balance per reconciliation of $29,500 is what the bank's balance of cash would be if no deposits or checks were outstanding. We would also need to look for and correct any bank errors, but there are none here. Next, we'll look at step 2 to determine the amounts shown on the right side of Illustration 4–12.

STEP 2: RECONCILE THE COMPANY'S CASH BALANCE

In step 2, we reconcile the *company's* cash balance per general ledger by determining which cash transactions have been recorded by the bank but not yet recorded by the company. Let's first compare the bank statement's list of deposits and credits to the company's record of cash receipts. To see these, look back at Illustration 4–10 for the items circled in the bank statement.

Notes received and interest earned. First Bank received $2,200 cash from a note owed to Starlight ($2,000 principal plus $200 related interest). These two items increase the company's cash balance, but the company didn't know about them until it examined the bank statement. Direct deposits by others into the company's bank account have become increasingly popular in recent years because of the ease of electronic banking. Common situations include recurring payments from customers, real estate transactions, collection agencies, and note collections.

Now let's compare the bank statement's list of withdrawals and debits to the company's record of cash disbursements. To see these, look back at Illustration 4–11 for the items circled in the bank statement. The bank statement reveals four amounts: three that are not yet recorded in Starlight's cash records, and one item recorded incorrectly by Starlight. These four items include the following:

1. **Unrecorded payments.** An electronic funds transfer (EFT) for utilities ($4,100) was made, but Starlight's accountant forgot to record this transaction. EFTs are automatic transfers from one bank account to another (sometimes referred to as electronic checks or e-checks). Companies are more frequently using EFTs to handle routine expenditures such as monthly rent payments, salaries, or utility bills.
2. **NSF checks.** Starlight received and deposited a check from a customer for $2,800. The bank later determines this customer's account has "nonsufficient funds" to pay the check. This is an **NSF check**. Starlight previously recorded cash received from this customer, and now First Bank is notifying Starlight that its cash balance is being decreased because the customer did not pay with a valid check.
3. **Bank service fees.** First Bank charges service fees of $100 to Starlight. Banks charge fees for various activities related to monthly maintenance, overdraft penalties, ATM use, wire transfers, foreign currency exchanges, automatic payments, collections of notes, and other account services. These fees may not be known by the company until examination of the bank statement.
4. **Company errors**. The final item relates to a company error in recording a debit card transaction. A debit card was used for $3,300 of advertising, but Starlight's accountant recorded the transaction incorrectly for $3,000. First Bank processed the debit card for the correct amount of $3,300. This means Starlight needs to reduce its cash balance by an additional $300 for advertising expense. In addition, the company may want to review its internal control procedures to identify the source of the error.

These four items decrease the company's cash balance, but the company didn't know about them until it examined the bank statement.

The company balance per reconciliation is calculated on the right side of Illustration 4–12. The company's reconciled balance is $29,500 and matches the bank's reconciled balance, providing some indication that cash is not being mishandled by employees.

COMMON MISTAKE

Students sometimes mistake an NSF check from a customer as a bad check written *by* the company instead of one written *to* the company. When an NSF check occurs, the company has deposited a customer's check but the customer did not have enough funds to cover the check. The company must adjust its balance of cash downward to reverse the increase in cash it recorded at the time of deposit. The effect of this bounced customer check creates an account receivable for the company until the customer honors the funds it owes.

STEP 3: UPDATE THE COMPANY'S CASH ACCOUNT

As a final step in the reconciliation process, a company must update the balance in its Cash account to adjust for the items used to reconcile the *company's* cash balance (right side of Illustration 4–12). Remember, these are amounts the company didn't know until it examined the bank statement.

For reconciliation items that increase the company's balance of cash, we debit Cash. We credit Notes Receivable because the company has collected cash from the note, decreasing that asset account (−$2,000). We also credit Interest Revenue for interest earned from the note ($200).

March 31, 2024	Debit	Credit
Cash	**2,200**	
Notes Receivable		**2,000**
Interest Revenue		**200**
(Record note collected and interest earned)		

For reconciliation items that decrease the company's balance of cash, we credit Cash.

Cash	
34,600	
2,200	
	7,300
29,500	

March 31, 2024	Debit	Credit
Utilities Expense	**4,100**	
Accounts Receivable	**2,800**	
Service Fee Expense	**100**	
Advertising Expense	**300**	
Cash		**7,300**
(Record utilities payment, NSF check, bank service fee, and correction for advertising)		

Accounts Receivable is debited to increase that asset account (+$2,800), to show that the customer who paid with an NSF check still owes the company money. The other debits are needed to record the items related to cash outflows.

COMMON MISTAKE

Some students try to update the Cash account for deposits outstanding, checks outstanding, or a bank error. The company does *not* need to adjust for these items related to reconciling the bank's balance because they are already properly recorded in the company's accounting records.

In the uncommon event that the two balances at the end of the bank reconciliation schedule are not equal, management investigates the discrepancy to check for wrongdoing or errors by company employees or the bank. If the company cannot resolve the discrepancy, it records the difference to either Miscellaneous Expense or Miscellaneous Revenue, depending on whether it has a debit or credit balance. For example, suppose a company is unable to account for $100 of missing cash. In this event, the company records the following transaction, increasing Miscellaneous Expense and decreasing Cash.

	Debit	Credit
Miscellaneous Expense	**100**	
Cash		**100**
(Record loss of $100 cash)		

Illustration 4–13 summarizes the basic items included in a bank reconciliation. **For the reconciliation to be complete, the reconciled bank balance must equal the reconciled company balance.**

ILLUSTRATION 4–13
Summary of Items Included in the Bank Reconciliation

	Bank's Cash Balance	Company's Cash Balance
	Per bank statement	Per general ledger
Timing Differences	+ Deposits outstanding − Checks outstanding	+ Notes received by bank + Interest received − Unrecorded payments − NSF checks from customers − Bank service fees
Errors	± Bank errors	± Company errors
	= **Bank balance per reconciliation**	= **Company balance per reconciliation**

KEY POINT

In a bank reconciliation we reconcile the *bank's* cash balance for (1) cash transactions already recorded by the company but not yet recorded by the bank and (2) bank errors. Similarly, we reconcile the *company's* cash balance for (1) cash transactions already recorded by the bank but not yet recorded by the company and (2) company errors. After we complete the reconciliations, the amounts for the bank balance and the company balance should be equal. Any adjustments to the company's balance need to be recorded.

Let's Review

At the end of April 2024, Showtime Theatre's accounting records show a cash balance of $4,800. The April bank statement reports a cash balance of $3,700. The following information is gathered from the bank statement and company records:

Checks outstanding	$1,900	Customer's NSF check	$1,300
Deposits outstanding	1,600	Service fee	200
Interest earned	70		

In addition, Showtime discovered it correctly paid for advertising with a check for $220 but incorrectly recorded the check in the company's records for $250. The bank correctly processed the check for $220.

Required:

1. Prepare a bank reconciliation for the month of April 2024.
2. Prepare entries to update the balance of cash in the company's records.

Solution:

1. Bank reconciliation:

SHOWTIME THEATRE
Bank Reconciliation
April 30, 2024

Bank's Cash Balance		***Company's Cash Balance***	
Per bank statement	$3,700	Per general ledger	$4,800
Deposits outstanding	+1,600	Interest earned	+70
		Company error	+30
Checks outstanding	−1,900	Service fee	−200
		NSF check received	−1,300
Bank balance per reconciliation	$3,400	Company balance per reconciliation	$3,400

2. Entries to update the company's balance of cash:

April 30, 2024	Debit	Credit
Cash	**100**	
Interest Revenue		**70**
Advertising Expense		**30**
(Record interest earned and error correction)		
Service Fee Expense	**200**	
Accounts Receivable	**1,300**	
Cash		**1,500**
(Record service fee and NSF check of customer)		

Suggested Homework:
BE4–8, BE4–12;
E4–9, E4–10;
P4–2A&B, P4–3A&B

Employee Purchases

■ LO4–6
Account for employee purchases.

You probably pay for many of your purchases with a debit card, credit card, or check. For example, when you go out to eat with your friends at a local restaurant, you might use your debit card. You could also use your credit card for an online purchase, or maybe a check for a mail-in donation to your favorite charity. However, it's also nice to have a little cash in your wallet for quick expenditures. For example, you might decide to buy a soda from a machine or a hot dog at the game.

The same way you have multiple methods to make purchases, so do many employees on behalf of their company. For example, a traveling salesperson might be on the road and need to take a client to dinner, put gas in the car, or stay in a hotel that night. To do so, the salesperson can use a company-issued debit card or credit card (often referred to as **purchase cards**).

Similarly, an office manager might decide to have a lunch meeting for the staff and needs actual cash available to pay for pizza delivery. Cash on hand to pay for these minor purchases is referred to as a **petty cash fund**, and the employee responsible for the fund is often referred to as the *petty cash custodian.*

Employee purchases should be included in the accounting records by the end of the reporting period. Employee purchases made with debit cards and checks will be captured in the accounting records at the time the bank reconciliation is prepared, like we saw in the previous section. In this section, we discuss how to account for employee purchases using credit cards and the petty cash fund. Those expenditures typically are not immediately recorded in the accounting records, yet they are legitimate business transactions during the period.

Let's work through an example of Starlight Productions. In May, Starlight withdraws cash of $200 from the bank to have on hand in the petty cash fund. Starlight also issues credit cards to its purchasing manager and marketing manager. At the time these cards are issued, nothing is recorded because no expenditures have been made. However, for the petty cash fund, cash has been withdrawn from the bank, so we record the following entry that formally shows the transfer of cash from the bank to cash on hand in the petty cash fund:

May 1	Debit	Credit
Petty Cash (on hand)	**200**	
Cash (checking account)		**200**
(Establish the petty cash fund)		

A	=	L	+	SE
+200				
−200				

During May, the petty cash custodian provides cash to employees for an office lunch and package delivery and places vouchers documenting the purposes of those expenditures in the petty cash fund. In addition, the purchasing manager and the marketing manager used their credit cards for expenditures related to their positions. Suppose the following items and amounts occur:

Petty Cash Fund (Cash)		Purchasing Manager (Credit Card)		Marketing Manager (Credit Card)	
Item	Amount	Item	Amount	Item	Amount
Lunch	$60	Supplies	$800	Advertising	$1,500
Delivery	$90	Supplies	$600	Postage	$1,200

At the end of May, the company's accountant collects vouchers from the petty cash fund and credit card receipts from the purchasing manager and marketing manager.

Let's first record expenditures made with credit cards. These expenditures typically are not paid immediately, so they are recorded as Accounts Payable until paid. If the company's accountant decides to pay the credit card balance at the time of reconciliation, then the $4,100 credit would be to Cash.

May 31	Debit	Credit
Supplies ($800 + $600)	**1,400**	
Advertising Expense	**1,500**	
Postage Expense	**1,200**	
Accounts Payable		**4,100**
(Recognize employee expenditures with credit cards)		

A	=	L	+	SE
+1,400				
				−1,500 Exp↑
				−1,200 Exp↑
		+4,100		

Now let's record expenditures from the petty cash fund.

May 31	Debit	Credit
Entertainment Expense	**60**	
Delivery Expense	**90**	
Cash		**150**
(Recognize employee expenditures from the petty cash fund)		

A	=	L	+	SE
				−60 Exp↑
				−90 Exp↑
−150				

Also at the end of the period, the $200 petty cash fund needs to be replenished. Cash of $150 has been disbursed during May ($60 for lunch and $90 for delivery). The fund has only $50 remaining, so management withdraws an additional $150 from the bank to place in the fund. The fund's physical balance will once again be $200.

What if only $30 physically remains in the petty cash fund at the end of May, when there should be $50? It could be that $20 was stolen from the fund, or the fund could be missing a receipt for $20 to show where it was spent. If the question is not resolved, the firm will likely charge the $20 to Miscellaneous Expense.

KEY POINT

To make purchases on behalf of the company, some employees are allowed to use debit cards and credit cards (purchase cards), write checks, and spend available cash on hand (petty cash fund). At the end of the period, all employee purchases are recorded, and the petty cash fund is replenished.

In addition to accounting for employee purchases, a system of internal control needs to be in place to ensure that all expenditures are legitimate and that company resources are not being wasted or stolen. Those controls include items such as the following:

- Employees should be required to provide receipts and justification for those receipts on a timely basis.
- A separate employee reviews receipts and supporting documents to ensure all expenditures are made appropriately.
- Credit card receipts are reconciled to credit card statements, just like we reconciled checks and debit card transactions to the bank statement.
- Spending limits are placed on employees who are authorized to use a company credit card or have access to company cash. Major expenditures require pre-approval through formal purchasing procedures.
- Only those employees that need to make timely business expenditures should receive authorization.

PART C

STATEMENT OF CASH FLOWS

■ **LO4–7**
Identify the major inflows and outflows of cash.

To this point, we've considered several internal controls related to cash. Here, we discuss how companies report cash activities to external parties. Companies report cash in two financial statements—in the balance sheet and in the statement of cash flows. As we discussed in Chapter 3, companies report cash as an asset in the balance sheet. The amount is typically reported as a current asset and represents cash *available* for spending at the end of the reporting period.

In addition, some companies separately report **restricted cash.** Restricted cash represents cash that is *not available* for current operations. Examples of restricted cash include cash set aside by the company for specific purposes such as repaying debt, purchasing equipment, or making investments in the future.

The balance sheet provides only the final balance for cash. It does not provide any details regarding cash receipts and cash payments. Companies report information about cash receipts and payments during the period in a statement of cash flows. **From the statement of cash flows, investors know a company's cash inflows and cash outflows related to (1) operating activities, (2) investing activities, and (3) financing activities.** We'll provide a complete discussion of the statement of cash flows in Chapter 11. Here, we briefly introduce the basics of the statement to help you understand that its purpose is to report activity related to the key topic of this chapter—cash.

Recall from Chapter 1 the three fundamental types of business activities relating to cash:

- *Operating activities* include cash transactions involving revenue and expense events during the period. In other words, operating activities include the cash effect of the same activities that are reported in the income statement to calculate net income.
- *Investing activities,* as the name implies, include cash investments in long-term assets and investment securities. When the firm later sells those assets, we consider those transactions investing activities also. So, investing activities tend to involve long-term assets.
- *Financing activities* include transactions designed to raise cash or finance the business. There are two ways to do this: borrow cash from lenders or raise cash from stockholders. We also consider cash outflows to repay debt and cash dividends to stockholders to be financing activities. So, financing activities involve liabilities and stockholders' equity.

It's easiest to understand cash flow information by looking at the underlying transactions. To do this, we'll refer back to the external transactions of Eagle Soccer Academy introduced in Chapters 1 through 3. For convenience, Illustration 4–14 lists those transactions and analyzes their effects on the company's cash.

Which transactions involve the exchange of cash? All transactions except (5) and (7) involve either the receipt (inflow) or payment (outflow) of cash. **Only transactions involving *cash* affect a company's *cash* flows.**

ILLUSTRATION 4–14

External Transactions of Eagle Soccer Academy

Transaction	External Transactions in December	Type of Activity	Is Cash Involved?	Inflow or Outflow?
(1)	Sell shares of common stock for $200,000 to obtain the funds necessary to start the business.	Financing	**YES**	Inflow
(2)	Borrow $100,000 from the local bank and sign a note promising to repay the full amount of the debt in three years.	Financing	**YES**	Inflow
(3)	Purchase equipment necessary for giving soccer training, $120,000 cash.	Investing	**YES**	Outflow
(4)	Pay one year of rent in advance, $60,000 ($5,000 per month).	Operating	**YES**	Outflow
(5)	Purchase supplies on account, $23,000.	Operating	NO	—
(6)	Provide soccer training to customers for cash, $43,000.	Operating	**YES**	Inflow
(7)	Provide soccer training to customers on account, $20,000.	Operating	NO	—
(8)	Receive cash in advance for soccer training sessions to be given in the future, $6,000.	Operating	**YES**	Inflow
(9)	Pay salaries to employees, $28,000.	Operating	**YES**	Outflow
(10)	Pay cash dividends of $4,000 to shareholders.	Financing	**YES**	Outflow

Illustration 4–15 presents the statement of cash flows for Eagle Soccer Academy using what's called the *direct method* of reporting operating activities. Corresponding transaction numbers are in brackets. (In Chapter 11 we'll discuss the *indirect method.*)

From the statement of cash flows, investors and creditors can see that the major source of cash inflow for Eagle is the issuance of common stock, a financing activity. Eagle has also

ILLUSTRATION 4–15

Statement of Cash Flows for Eagle Soccer Academy

EAGLE SOCCER ACADEMY
Statement of Cash Flows
For the period ended December 31, 2024

Cash Flows from Operating Activities		
Cash inflows:		
From customers [6 and 8]	$ 49,000	
Cash outflows:		
For salaries [9]	(28,000)	
For rent [4]	(60,000)	
Net cash flows from operating activities		$ (39,000)
Cash Flows from Investing Activities		
Purchase equipment [3]	(120,000)	
Net cash flows from investing activities		(120,000)
Cash Flows from Financing Activities		
Issue common stock [1]	200,000	
Borrow from bank [2]	100,000	
Pay dividends [10]	(4,000)	
Net cash flows from financing activities		296,000
Net increase in cash		137,000
Cash at the beginning of the period		-0-
Cash at the end of the period		**$137,000**

Numbers in brackets correspond to the external transaction numbers of Eagle Soccer Academy in Illustration 4–14.

received cash from bank borrowing, which must be repaid. The company is also investing in its future by purchasing equipment. Eagle reports this amount as an investing outflow.

With regard to the three types of business activities, the cash flow that's related most directly to the company's profitability is net cash flows from operating activities. For Eagle Soccer Academy, net cash flows from operating activities are −$39,000. This means that cash *outflows* related to operating activities exceed inflows. Stated another way, cash outflows related to expense activities exceed cash inflows related to revenue activities. While Eagle reports net income of $14,000 in its income statement (see Illustration 3–12 in Chapter 3), these same activities are not able to generate positive cash flows for the company. Ultimately, companies must be able to generate positive operating cash flows to maintain long-term success.

The final amount reported in the statement of cash flows, **$137,000**, is the same amount of cash reported in the balance sheet. You can verify this is the case for Eagle Soccer Academy by referring back to the balance sheet reported in Illustration 3–14 in Chapter 3.

KEY POINT

The statement of cash flows reports all cash activities for the period. *Operating activities* include those transactions involving revenue and expense activities. *Investing activities* include cash investments in long-term assets and investment securities. *Financing activities* include transactions designed to finance the business through borrowing and owner investment.

Decision Point

Question	Accounting information	Analysis
Is the company able to generate enough cash from internal sources to maintain operations?	Statement of cash flows	Cash flows generated from internal sources include operating and investing activities. For established companies, the sum of these amounts should be positive. Otherwise, the company will need to rely on external funding (lenders and stockholders), which is not sustainable in the long term.

Let's Review

A company reports in its current year each of the transactions listed below.

Required:

Indicate whether each transaction should be reported as an operating, investing, or financing cash flow in the company's statement of cash flows, and whether each is a cash inflow or outflow.

Transaction	Type of Cash Flow	Inflow or Outflow
1. Pay employees' salaries.	________	________
2. Obtain a loan at the bank.	________	________
3. Purchase a building with cash.	________	________
4. Purchase equipment by issuing note payable to seller.	________	________

Solution:

1. Operating–outflow.
2. Financing–inflow.
3. Investing–outflow.
4. Not reported as a cash flow because no cash is involved in the transaction.

Suggested Homework:
BE4–14, BE4–15;
E4–14, E4–15;
P4–4A&B, P4–5A&B

ANALYSIS

CASH ANALYSIS

Live Nation Entertainment vs. AMC Networks

■ LO4–8
Demonstrate the link between cash reported in the balance sheet and cash reported in the statement of cash flows.

The amount of cash reported by a company is important to investors and creditors for many reasons. Cash is needed to pay debt when it comes due. Cash also gives the company the financial flexibility to respond to its changing business environment, such as purchasing additional assets, hiring more employees, and engaging in strategic acquisitions.

However, having too much cash represents excess resources that are idle and not being used to produce revenues. Investors may also view excess cash as a signal that management does not see additional opportunities for profitable expansion. Some managers have been shown to spend excess cash inefficiently on less profitable projects.

Let's examine the cash holdings of two large entertainment companies, **Live Nation Entertainment** and **AMC Networks**.

CASH REPORTING

The balance sheet reports a company's total cash balance at the end of the year. The cash balance at the end of the previous year is the beginning balance of cash in the current year. We can use consecutive balance sheets to determine the change in cash for the year.

The statement of cash flows reports the net cash flows during the year by type of activity. Notice that the sum of the three activities in the statement of cash flows equals the change in total cash from one period to the next in the balance sheet. This demonstrates the link between the cash reported in consecutive balance sheets and net cash flows reported in the statement of cash flows.

($ in millions) **Balance Sheet:**	**Live Nation Entertainment**	**AMC Networks**
Cash and cash equivalents (ending)	$2,474.2	$ 816.2
Cash and cash equivalents (beginning)	2,378.2	554.9
Change in cash for the year	**$ 96.0**	**$ 261.3**
Statement of Cash Flows:		
Operating cash flows	$ 469.8	$ 483.7
Investing cash flows	(691.0)	(89.7)
Financing cash flows	328.9	(131.1)
Foreign currency effects	(11.7)	(1.6)
Net cash flows for the year	**$ 96.0**	**$ 261.3**

Both companies had an increase in cash for the year. We can analyze the statement of cash flows to see why cash increased by this amount. Both companies generated about the same amount of operating cash flows. However, Live Nation Entertainment used a large debt issuance (financing cash flows) for purchases of property and equipment and for acquisition of venue management and concert promotion businesses located in Canada, Belgium, and the United States (investing cash flows). AMC Networks had limited investing and financing activities.

CASH HOLDINGS

Live Nation Entertainment's ratio of cash to noncash assets is 29.1%. This same ratio for AMC Networks is 17.1%.

($ in millions)	**Live Nation Entertainment**	**AMC Networks**
Cash and cash equivalents	$2,474.2	$ 816.2
Noncash assets	$8,501.4	$4,780.5
Ratio	29.1%	17.1%

CAREER CORNER

Financial analysts offer investment advice to their clients—banks, insurance companies, mutual funds, securities firms, and individual investors. This advice usually comes in the form of a formal recommendation (buy, hold, or sell). Before giving an opinion, analysts develop a detailed understanding of a company's operations through discussions with management, analysis of competitors, and projections of industry trends. They also develop a detailed understanding of a company's financial statements, including its cash holdings.

Understanding a company's cash balance involves knowing the trade-offs between having too much or too little cash. With too little cash, a company may not be able to pay its debts as they become due or may not be able to take advantage of profitable opportunities. Having too much cash can draw criticisms from analysts because management is not efficiently using stockholders' resources (idle cash). In that case, analysts often call for managers to return idle cash to stockholders by paying additional dividends. The importance of understanding these trade-offs is why many finance majors and MBA students, pursuing careers as financial analysts, take additional accounting-related courses when earning their degrees and even after graduation.


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Below are some factors that possibly explain why one company holds more cash than another.

- **Profitability.** Companies that generate higher profits may naturally have more cash available.
- **Growth.** Growth companies tend to have less cash available because of their higher capital spending on new opportunities.
- **Reserves.** Companies sometimes hold larger amounts of cash in anticipation of major acquisitions or for payment of upcoming large debt payments.
- **Volatility of operations.** Companies with more volatile operations tend to hold more cash. Short-term negative shocks in the business cycle can cause a company to default on its debt and enter bankruptcy. These companies tend to keep more cash in reserve.
- **Foreign operations.** Historically, companies in the United States had to pay additional income taxes on foreign profits once those profits were returned as cash to the United States. To avoid these additional taxes, companies with major international operations (such as **Apple**, **Microsoft**, and **Google**) often kept the cash from foreign profits in those foreign countries, causing them to have higher overall cash balances.
- **Dividend policy.** Companies that pay greater dividends tend to have less cash available. Some companies choose to return a higher portion of their earnings to stockholders in the form of cash dividends.

Can these factors help to explain why Live Nation Entertainment holds more cash than AMC Networks? Possibly. Live Nation Entertainment is a larger company engaged in more acquisitions of other companies and with more international operations. Live Nation Entertainment generates approximately 34% of its revenues outside of the U.S., while AMC Network generates only about 23%. In addition, AMC Networks uses a portion of its cash to buy its own stock (treasury shares), while Live Nation Entertainment has limited activity of this type.

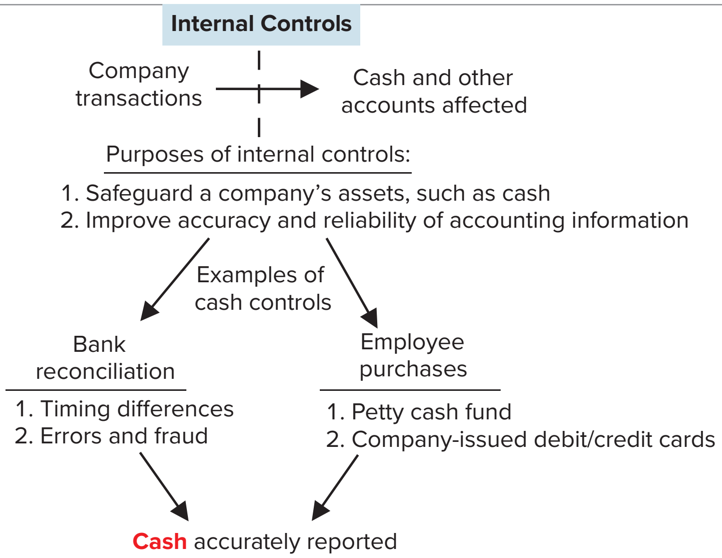
KEY POINT

A company's cash balance should be high enough to ensure that it can pay debts as they become due, but not so high that cash is idle and not being used effectively.

CHAPTER FRAMEWORK

All company transactions should pass through the filter of a company's internal controls. Internal controls include activities meant to detect errors or fraud that have occurred, as well as prevent errors or fraud in the first place. Cash is perhaps the asset most susceptible to error and fraud. For this reason, most companies develop specific procedures to maintain control of cash.

Two cash control activities are (1) reconciling a company's balance of cash with its bank's balance of cash and (2) regularly accounting for and verifying employee purchases in the petty cash fund and with company-issued debit and credit cards. These internal control procedures help to safeguard cash and ensure its accuracy in the balance sheet and statement of cash flows.



Balance Sheet

Assets	
Cash (ending)	x
Other assets	x
Total	xx
Liabilities	x
Equities	x
Total	xx

Statement of Cash Flows

Net operating cash flows	x
Net investing cash flows	x
Net financing cash flows	x
Change in cash for period	x
Plus: Beginning cash	x
Cash (ending)	x

Chapter Framework Questions

1. The primary purpose(s) of a company's internal controls is (are) to
   a. Safeguard a company's assets.
   b. Improve accuracy and reliability of accounting information.
   c. Both *a.* and *b.* are purposes of internal controls.
2. An example of internal controls over cash includes
   a. A bank reconciliation.
   b. A balance sheet provided to investor at the end of the year.
   c. Disclosures by management related to planned operations.
3. A bank reconciliation reconciles the difference between the bank's balance of cash and the company's balance of cash related to
   a. Timing differences.
   b. Errors and fraud.
   c. Both *a.* and *b.* represent differences that should be reconciled.
4. A primary benefit of performing a bank reconciliation is
   a. Accuracy of revenues reported in the income statement.
   b. Accuracy of cash reported in the balance sheet.
   c. Accuracy of liabilities reported in the balance sheet.
5. A primary benefit of internal controls over cash is to improve
   a. Management's ability to assess which of its company's products is most profitable.
   b. Creditors understanding of a company's total obligations.
   c. The amounts reported in the statement of cash flows.

Note: For answers, see the last page of the chapter.

KEY POINTS BY LEARNING OBJECTIVE

LO4–1 Discuss the impact of accounting scandals and the passage of the Sarbanes-Oxley Act.

The accounting scandals in the early 2000s prompted passage of the Sarbanes-Oxley Act (SOX). Among other stipulations, SOX sets forth a variety of guidelines related to auditor–client relations and additional internal controls. Section 404, in particular, requires company management and auditors to document and assess the effectiveness of a company's internal controls.

LO4–2 Identify the components, responsibilities, and limitations of internal control.

Internal control refers to a company's plan to improve the accuracy and reliability of accounting information and safeguard the company's assets. Five key components to an internal control system are (1) control environment, (2) risk assessment, (3) control activities, (4) monitoring, and (5) information and communication. Control activities include those designed to prevent or detect fraudulent or erroneous behavior.

LO4–3 Define cash and cash equivalents.

Cash includes coins and currency, checks received, and balances in savings and checking accounts. The cash balance also includes credit card and debit card sales, as well as cash equivalents, defined as investments that mature within three months from the date of purchase (such as money market funds, Treasury bills, and certificates of deposit).

LO4–4 Understand controls over cash receipts and cash disbursements.

Because cash is the asset of a company most susceptible to employee fraud, controls over cash receipts and cash disbursements are an important part of a company's overall internal control system. Important controls over cash receipts include segregation of duties for those who handle cash and independent verification of cash receipts. Important controls over cash disbursements include payment by check, credit card, or debit card, separation of duties, and various authorization and documentation procedures.

LO4–5 Reconcile a bank statement.

In a bank reconciliation we reconcile the *bank's* cash balance for (1) cash transactions already recorded by the company but not yet recorded by the bank and (2) bank errors. Similarly, we reconcile the *company's* cash balance for (1) cash transactions already recorded by the bank but not yet recorded by the company and (2) company errors. After we complete the reconciliations, the amounts for the bank balance and the company balance should be equal. Any adjustments to the company's balance need to be recorded.

LO4–6 Account for employee purchases.

To make purchases on behalf of the company, some employees are allowed to use debit cards and credit cards (purchase cards), write checks, and spend available cash on hand (petty cash fund). At the end of the period, all employee purchases are recorded, and the petty cash fund is replenished.

LO4–7 Identify the major inflows and outflows of cash.

The statement of cash flows reports all cash activities for the period. *Operating activities* include those transactions involving revenues and expenses. *Investing activities* include cash investments in long-term assets and investment securities. *Financing activities* include transactions designed to finance the business through borrowing and owner investment.

Analysis

LO4–8 Demonstrate the link between cash reported in the balance sheet and cash reported in the statement of cash flows.

A company's cash balance should be high enough to ensure that it can pay debts as they become due, but not so high that cash is idle and not being used effectively.

GLOSSARY

Bank reconciliation: Matching the balance of cash in the bank account with the balance of cash in the company's own records. **p. 189**

Cash: Currency, coins, balances in savings and checking accounts, items acceptable for deposit in these accounts (such as checks received from customers), credit card and debit card sales, and cash equivalents. **p. 185**

Cash equivalents: Short-term investments that have a maturity date no longer than three months from the date of purchase. **p. 185**

Checks outstanding: Checks the company has written that have not been subtracted from the bank's record of the company's balance. **p. 192**

Collusion: Two or more people acting in coordination to circumvent internal controls. **p. 184**

Deposits outstanding: Cash receipts of the company that have not been added to the bank's record of the company's balance. **p. 192**

Fraud triangle: The three elements present for every fraud—motivation, rationalization, and opportunity. **p. 178**

Internal controls: A company's plans to (1) safeguard the company's assets and (2) improve the accuracy and reliability of accounting information. **p. 178**

NSF check: A check received and deposited by a company that is later determined by the bank to have nonsufficient funds. Also known as a "bad" check from a customer. **p. 193**

Occupational fraud: The use of one's occupation for personal enrichment through the deliberate misuse or misapplication of the employer's resources. **p. 178**

Petty cash fund: Small amount of cash kept on hand to pay for minor purchases. **p. 196**

Purchase cards: Company-issued debit cards or credit cards that allow authorized employees to make purchases on behalf of the company. **p. 196**

Sarbanes-Oxley Act: Known as the *Public Company Accounting Reform and Investor Protection Act of 2002* and commonly referred to as *SOX;* the act established a variety of guidelines related to auditor–client relations and internal control procedures. **p. 179**

Separation of duties: Authorizing transactions, recording transactions, and controlling related assets should be separated among employees. **p. 182**

SELF-STUDY QUESTIONS

1. Fraudulent reporting by management could include **(LO4–1)**
   a. Fictitious revenues from a fake customer.
   b. Improper asset valuation.
   c. Mismatching revenues and expenses.
   d. All of the above.

2. The Sarbanes-Oxley Act (SOX) mandates which of the following? **(LO4–1)**
   a. Increased regulations related to auditor–client relations.
   b. Increased regulations related to internal control.
   c. Increased regulations related to corporate executive accountability.
   d. All of the above.

3. What is the concept behind *separation of duties* in establishing internal control? **(LO4–2)**
   a. Employee fraud is less likely to occur when access to assets and access to accounting records are separated.
   b. The company's financial accountant should not share information with the company's tax accountant.
   c. Duties of middle-level managers of the company should be clearly separated from those of top executives.
   d. The external auditors of the company should have no contact with managers while the audit is taking place.

4. Which of the following is an example of detective controls? **(LO4–2)**
   a. The company should establish formal guidelines to handle cash receipts and make purchases.
   b. Important documents should be kept in a safe place, and electronic files should be backed up regularly.
   c. Employees should be made aware of the company's internal control policies.
   d. Management periodically determines whether the amount of physical assets agree with the accounting records.

5. Which of the following is considered cash for financial reporting purposes? **(LO4–3)**
   a. Accounts receivable from customers who are expected to pay.
   b. Investments with maturity dates less than three months from the date of purchase.
   c. Credit cards used by the company to purchase office supplies.
   d. Accounts payable to local vendors used on a regular basis.

6. Which of the following generally would be considered good internal control of cash disbursements? **(LO4–4)**
   a. Make all cash disbursements using cash rather than debit cards or credit cards.
   b. Set maximum purchase limits on debit cards and credit cards.
   c. The employee responsible for making cash disbursements should be in charge of cash receipts.
   d. The employee who authorizes payments should also prepare the check.

7. Which of the following generally would *not* be considered good internal control of cash receipts? **(LO4–4)**
   a. Allowing customers to pay with a debit card.
   b. Requiring the employee receiving the cash from the customer to also deposit the cash into the company's bank account.
   c. Recording cash receipts as soon as they are received.
   d. Allowing customers to pay with a credit card.

8. Which of the following adjusts the bank's balance of cash in a bank reconciliation? **(LO4–5)**
   a. NSF checks from customers.
   b. Service fees.
   c. An error by the company.
   d. Checks outstanding.

9. Which of the following adjusts the company's balance of cash in a bank reconciliation? **(LO4–5)**
   a. Notes collected by the bank.
   b. Checks outstanding.
   c. Deposits outstanding.
   d. An error by the bank.

10. Employee purchases of supplies with a company-issued credit card is typically recorded with a credit to **(LO4–6)**
    a. Accounts Payable.
    b. Supplies.
    c. Cash.
    d. Supplies Expense.

11. The purpose of a petty cash fund is to **(LO4–6)**
    a. Provide a convenient form of payment for the company's customers.
    b. Pay employee salaries at the end of each period.
    c. Provide cash on hand for minor expenditures.
    d. Allow the company to save cash for major future purchases.

12. Operating cash flows would include which of the following? **(LO4–7)**
    a. Repayment of borrowed money.
    b. Payment for employee salaries.
    c. Services provided to customers on account.
    d. Payment for a new operating equipment.

13. Investing cash flows would include which of the following? **(LO4–7)**
    a. Payment for advertising.
    b. Payment of dividends to stockholders.
    c. Cash sales to customers.
    d. Payment for land.

14. At the end of the previous year, a company's balance sheet reports cash of $30,000. For the current year, the company's statement of cash flows reports operating cash inflows of $90,000; investing outflows of $110,000; and financing inflows of $40,000. What amount of cash will be reported in the current year's balance sheet? **(LO4–8)**
    a. $90,000.
    b. $20,000.
    c. $50,000.
    d. $120,000.

15. Which of the following could cause a company to have a high ratio of cash to noncash assets? **(LO4–8)**
    a. Highly volatile operations.
    b. Low dividend payments.
    c. Significant foreign operations.
    d. All of these factors could contribute to a high ratio of cash to noncash assets.

Note: For answers, see the last page of the chapter.

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DATA ANALYTICS & EXCEL

Visit Connect to find a variety of Data Analytics questions that help build Excel, Tableau, and data visualization skills. Assignable materials include Integrated Excel, Applying Excel, Data Visualizations, Tableau Dashboard Activities, and Applying Tableau cases.

REVIEW QUESTIONS

■ **LO4–1** 1. Define occupational fraud. Describe two common means of occupational fraud.

■ **LO4–1** 2. What is internal control? Why should a company establish an internal control system?

■ **LO4–1** 3. "Managers are stewards of the company's assets." Discuss what this means.

■ **LO4–1** 4. Why are some managers motivated to manipulate amounts reported in the financial statements?

■ **LO4–1** 5. What is meant by the fraud triangle, and what can companies do to help prevent fraud?

■ **LO4–1** 6. What are some of the major provisions of the Sarbanes-Oxley Act?

■ **LO4–2** 7. Briefly describe the five components of internal control outlined by the Committee of Sponsoring Organizations (COSO).

■ **LO4–2** 8. Describe the difference between preventive controls and detective controls. What are examples of each?

■ **LO4–2** 9. What is meant by separation of duties?

■ **LO4–2** 10. Who has responsibility for internal control in an organization? According to guidelines set forth in Section 404 of the Sarbanes-Oxley Act, what role does the auditor play in internal control?

11. What are some limitations of internal control? ■ LO4–2
12. To what does collusion refer? ■ LO4–2
13. Is fraud more likely to occur when it is being committed by top-level employees? Explain. ■ LO4–2
14. Define cash and cash equivalents. ■ LO4–3
15. Describe how the purchase of items with a check is recorded. ■ LO4–3
16. Discuss basic controls for cash receipts. ■ LO4–4
17. What is a credit card? How are credit card sales reported? ■ LO4–4
18. What is a debit card? How are debit card sales reported? ■ LO4–4
19. Discuss basic controls for cash disbursements. ■ LO4–4
20. How are credit card purchases reported? ■ LO4–4
21. What is a bank reconciliation? How can it help in determining whether proper control of cash has been maintained? ■ LO4–5
22. What are two primary reasons that the company's balance of cash will differ between its own records and those of the bank? ■ LO4–5
23. Give some examples of timing differences in cash transactions that firms need to account for in a bank reconciliation. ■ LO4–5
24. After preparing a bank reconciliation, what adjustments does the company need to make to its records? ■ LO4–5
25. What are purchase cards and a petty cash fund? ■ LO4–6
26. Describe how management maintains control over employee purchases with credit cards and the petty cash fund. ■ LO4–6
27. The change in cash for the year can be calculated by comparing the balance of cash reported in this year's and last year's balance sheet. Why is the statement of cash flows needed? ■ LO4–7
28. Describe the operating, investing, and financing sections of the statement of cash flows. ■ LO4–7
29. Why is an analysis of the company's cash balance important? ■ LO4–8
30. We compared **Live Nation Entertainment** and **AMC Networks** at the end of this chapter. What reasons were given for the differences of amounts held in their Cash accounts? ■ LO4–8

BRIEF EXERCISES

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Identify terms associated with the Sarbanes-Oxley Act **(LO4–1)**

BE4–1 Match each of the following provisions of the Sarbanes-Oxley Act (SOX) with its description.

Major Provisions of the Sarbanes-Oxley Act	Descriptions
_______ 1. Oversight board	a. Executives must personally certify the company's financial statements.
_______ 2. Corporate executive accountability	b. Audit firm cannot provide a variety of other services to its client, such as investment advising.
_______ 3. Auditor rotation	c. PCAOB establishes standards related to the preparation of audited financial reports.
_______ 4. Nonaudit services	d. Lead audit partners are required to change every five years.
_______ 5. Internal control	e. Management must document the effectiveness of procedures that could affect financial reporting.

Identify terms associated with components of internal control **(LO4–2)**

BE4–2 Match each of the following components of internal control with its description.

Components of Internal Control	Descriptions
_______ 1. Control environment	a. Procedures for maintaining separation of duties.
_______ 2. Risk assessment	b. Routine activities that are meant to continually observe internal control activities.
_______ 3. Control activities	c. Transfer of data from lower managers to top executives for accurate financial reporting.
_______ 4. Information and communication	d. Formal policies to evaluate internal and external threats to achieving company objectives.
_______ 5. Monitoring	e. Overall attitude of the company with respect to internal controls.

Define control activities associated with internal control **(LO4–2)**

BE4–3 Match each of the following control activities with its definition.

Control Activities	Definitions
_______ 1. Separation of duties	a. The company should maintain security over assets and accounting records.
_______ 2. Physical controls	b. Management should periodically determine whether the amounts of physical assets of the company match the accounting records.
_______ 3. Proper authorization	c. The company should provide employees with appropriate guidance to ensure they have the knowledge necessary to carry out their job duties.
_______ 4. Employee management	d. The actual performance of individuals or processes should be checked against their expected performance.
_______ 5. Reconciliations	e. Authorizing transactions, recording transactions, and maintaining control of the related assets should be separated among employees.
_______ 6. Performance reviews	f. To prevent improper use of the company's resources, only certain employees are allowed to carry out certain business activities.

Identify cash and cash equivalents **(LO4–3)**

BE4–4 Determine whether the firm reports each of the following items as part of cash and cash equivalents in the balance sheet.

Item	Cash or Cash Equivalent? (yes/no)
1. Currency	_______
2. Inventory for sale to customers	_______
3. Balance in savings account	_______
4. Checks	_______
5. Accounts receivable	_______
6. Investments purchased with maturities of less than three months	_______

Determine cash sales **(LO4–4)**

BE4–5 During the year, the following sales transactions occur. There is a charge of 3% on all credit card transactions and a 1% charge on all debit card transactions. Calculate the amount recorded as cash receipts from these transactions.

1. Total cash sales = $500,000
2. Total check sales = $350,000
3. Total credit card sales = $600,000
4. Total debit card sales = $200,000

Record cash expenditures **(LO4–4)**

BE4–6 Record the following transactions.

1. Pay employee salaries of $600 by issuing checks.

2. Purchase computer equipment of $1,000 using a credit card.
3. Pay for maintenance of $400 for a company vehicle using a debit card.

Identify terms associated with a bank reconciliation **(LO4–5)**

BE4–7 Match each term associated with a bank reconciliation with its description.

Terms	Descriptions
_______ 1. Checks outstanding	a. Cash receipts received by the company but not yet recorded by the bank.
_______ 2. NSF checks from customers	b. Fees imposed by the bank to the company for providing routine services.
_______ 3. Company error	c. Checks written to the company that are returned by the bank as not having adequate funds.
_______ 4. Note collected	d. Checks written by the company but not yet recorded by the bank.
_______ 5. Deposits outstanding	e. Amount collected by the bank on behalf of the company in a lending arrangement.
_______ 6. Bank service fees	f. The company recorded a deposit twice.

Prepare a bank reconciliation **(LO4–5)**

BE4–8 Indicate whether the firm should add or subtract each item below from its balance of cash or the bank's balance of cash in preparing a bank reconciliation. The first answer is provided as an example. If an item is not a reconciling item, state "No entry."

Reconciliation Items	Bank Balance	Company Balance
1. *Checks outstanding*	*Subtract*	*No entry*
2. NSF checks from customers	_______	_______
3. Deposit recorded twice by company	_______	_______
4. EFT to pay rent not recorded by the company.	_______	_______
5. Deposits outstanding	_______	_______
6. Bank service fees	_______	_______

Reconcile timing differences in the bank's balance **(LO4–5)**

BE4–9 Damon Company receives its monthly bank statement, which reports a balance of $2,000. After comparing this to the company's cash records, Damon's accountants determine that deposits outstanding total $4,200 and checks outstanding total $4,450.

Required:
Calculate the reconciled bank balance for cash.

Reconcile timing differences in the company's balance **(LO4–5)**

BE4–10 Bourne Incorporated reports a cash balance at the end of the month of $2,620. A comparison of the company's cash records with the monthly bank statement reveals several additional cash transactions: bank service fees ($85), an NSF check from a customer ($350), a debit card used for the purchase of supplies ($100), and a customer's note receivable collected by the bank ($1,000) plus interest earned ($35).

Required:
Calculate the reconciled company balance for cash.

Record adjustments to the company's cash balance **(LO4–5)**

BE4–11 Refer to the information in BE4–10.

Required:
Record the necessary entries to adjust the balance of cash.

Prepare a bank reconciliation **(LO4–5)**

BE4–12 Brangelina Adoption Agency's general ledger shows a cash balance of $11,663. The balance of cash in the March-end bank statement is $7,345. A review of the bank statement reveals the following additional information: deposits outstanding of $2,803, bank service fees of $85, and unrecorded electronic funds transfer for utilities of $1,430. Calculate the correct balance of cash at the end of March.

Record employee purchases **(LO4–6)**

BE4–13 Clooney Corp. establishes a petty cash fund for $225 and issues a credit card to its office manager. By the end of the month, employees made one expenditure from the petty cash fund (entertainment, $25) and three expenditures with the credit card (postage, $60; delivery, $85; supplies expense, $50). Separately record employee credit card expenditures and employee petty cash expenditures. The credit card balance will be paid later.

Match types of cash flows with their definitions **(LO4–7)**

BE4–14 Match each type of cash flow to its definition.

Types of Cash Flows	Definitions
______ 1. Operating cash flows	a. Cash flows related to long-term assets and investment securities.
______ 2. Investing cash flows	b. Cash flows related to long-term liabilities and stockholders' equity.
______ 3. Financing cash flows	c. Cash flows related to revenues and expenses.

Determine operating cash flows **(LO4–7)**

BE4–15 Eastwood Enterprises offers horseback riding lessons. During the month of June, the company provides lessons on account totaling $5,100. By the end of the month, the company received on account $4,500 of this amount. In addition, Eastwood received $500 on account from customers who were provided lessons in May. Determine the amount of operating cash flows Eastwood will report as received from customers in June.

Determine investing cash flows **(LO4–7)**

BE4–16 On January 12, Ferrell Incorporated obtains a permit to start a comedy club, which will operate only on Saturday nights. To prepare the club for the grand opening, Ferrell purchases tables and chairs for $13,000 cash on January 16. Ferrell also purchases cleaning supplies on account for an additional $3,000. Determine the amount of investing cash flows Ferrell would report in January.

Determine financing cash flows **(LO4–7)**

BE4–17 Smith Law Firm specializes in the preparation of wills for estate planning. On October 1, 2024, the company begins operations by issuing stock for $11,000 and obtaining a loan from a local bank for $35,000. By the end of 2024, the company provides will preparation services of $42,000 cash and pays employee salaries of $33,000. In addition, Smith pays $3,000 in cash dividends to stockholders on December 31, 2024. Determine the amount of financing cash flows Smith would report in 2024.

Calculate the ratio of cash to noncash assets **(LO4–8)**

BE4–18 For each company, calculate the ratio of cash to noncash assets.

	Cash	Total Assets	Total Liabilities
Tuohy Incorporated	$4,200	$23,400	$3,600
Oher Corporation	$3,500	$25,700	$6,200

McGraw Hill connect

EXERCISES

Answer true-or-false questions about occupational fraud **(LO4–1)**

E4–1 Below are several statements about occupational fraud.

1. For most large companies, occupational fraud is minimal and internal control procedures are unnecessary.
2. Managers have a variety of reasons for manipulating the numbers in financial statements, such as maximizing their compensation, increasing the company's stock price, and preserving their jobs.
3. Internal control procedures include formal policies and procedures related to (a) safeguarding the company's assets and (b) improving the accuracy and reliability of accounting information.
4. "Cooking the books" is a phrase used by accountants to indicate the preparation of financial statements that are free of manipulation.
5. Most occupational fraud cases involve misuse of the company's resources.
6. Common types of financial statement fraud include creating fictitious revenues from a fake customer, improperly valuing assets, hiding liabilities, and mismatching revenues and expenses.

Required:
State whether the answer to each of the statements is true or false.

E4–2 Below are several statements about the Sarbanes-Oxley Act (SOX).

Answer true-or-false questions about the Sarbanes-Oxley Act **(LO4–1)**

1. SOX represents legislation passed in response to several accounting scandals in the early 2000s.
2. The requirements outlined in SOX apply only to those companies expected to have weak internal controls or to have manipulated financial statements in the past.
3. Section 404 of SOX requires both company management and auditors to document and assess the effectiveness of a company's internal control processes that could affect financial reporting.
4. Severe financial penalties and the possibility of imprisonment are consequences of fraudulent misstatement.
5. With the establishment of SOX, management now has primary responsibility for hiring an external audit firm.
6. The lead auditor in charge of auditing a particular company must rotate off that company only when occupational fraud is suspected.

Required:
State whether the answer to each of the statements is true or false.

E4–3 Below are several statements about internal controls.

Answer true-or-false questions about internal controls **(LO4–2)**

1. The components of internal control are built on the foundation of the ethical tone set by top management.
2. Once every three months, managers need to review operations to ensure that control procedures work effectively.
3. Collusion refers to the act of a single individual circumventing internal control procedures.
4. Detective control procedures are designed to detect errors or fraud that have already occurred, while preventive control procedures are designed to keep errors or fraud from occurring in the first place.
5. Fraud committed by top-level employees is more difficult to detect because those employees more often have the ability to override internal control features.
6. A good example of separation of duties would be having one person collect cash from customers and account for it, while having another person order inventory and maintain control over it.
7. Employee tips historically have been the most common means of detecting employee fraud.
8. Detective controls include reconciling the physical assets of the company with the accounting records and comparing actual performance of individuals or processes against their expected performance.
9. Effective internal controls and ethical employees ensure a company's success.

Required:
State whether the answer to each of the statements is true or false.

E4–4 Below are several scenarios related to control activities of a company.

Determine control activity violations **(LO4–2)**

1. A manufacturing company compares total sales in the current year to those in the previous year but does not compare the cost of production.
2. So that employees can have easy access to office supplies, a company keeps supplies in unlocked cabinets in multiple locations.
3. At the end of each day, a single employee collects all cash received from customers, records the total, and makes the deposit at the bank.
4. At the end of the year only, the company compares its cash records to the bank's records of cash deposited and withdrawn during the year.
5. A company encourages employees to call an anonymous hotline if they believe other employees are circumventing internal control features.
6. All employees have the authority to refund a customer's money.

Required:
For each scenario, determine which control activity is violated. Control activities include separation of duties, physical controls, proper authorization, employee management, reconciliations, and performance reviews. If no control activity is violated, state "none."

Calculate the amount of cash to report **(LO4–3)**

E4–5 Below are several amounts reported at the end of the year.

Currency located at the company	$1,050
Supplies	3,200
Short-term investments that mature within three months	1,950
Accounts receivable	3,500
Balance in savings account	8,500
Checks received from customers but not yet deposited	650
Prepaid rent	1,450
Coins located at the company	110
Equipment	9,400
Balance in checking account	6,200

Required:
Calculate the amount of cash to report in the balance sheet.

Discuss internal control procedures related to cash receipts **(LO4–4)**

E4–6 Douglas and Son, Inc., uses the following process for its cash receipts: The company typically receives cash and check sales each day and places them in a single drawer. Each Friday, the cash clerk records the amount of cash received and deposits the money in the bank account. Each quarter, the controller requests information from the bank necessary to prepare a bank reconciliation.

Required:
Discuss Douglas and Son's internal control procedures related to cash receipts, noting both weaknesses and strengths.

Discuss internal control procedures related to cash disbursements **(LO4–4)**

E4–7 Goldie and Kate operate a small clothing store that has annual revenues of about $100,000. The company has established the following procedures related to cash disbursements: The petty cash fund consists of $10,000. Employees place a receipt in the fund when making expenditures from it and obtain the necessary cash. For any expenditure not made with the petty cash fund, the employee writes a check. Employees are not required to obtain permission to write a check but are asked to use good judgment. Any check written for more than $5,000 can be signed only by Goldie or Kate.

Required:
Discuss Goldie and Kate's internal control procedures related to cash disbursements, noting both weaknesses and strengths.

Discuss internal control procedures related to cash receipts **(LO4–4)**

E4–8 Janice Dodds opens the mail for Ajax Plumbing Company. She lists all customer checks on a spreadsheet that includes the name of the customer and the check amount. The checks, along with the spreadsheet, are then sent to Jim Seymour in the accounting department, who records the checks and deposits them daily in the company's checking account.

Required:
Describe how the company could improve its internal control procedure for the handling of its cash receipts.

Calculate the balance of cash using a bank reconciliation **(LO4–5)**

E4–9 Spielberg Company's general ledger shows a cash account balance of $23,220 on July 31, 2024. Cash sales of $1,885 for the last three days of the month have not yet been deposited. The bank statement dated July 31 shows bank service fees of $55 and an NSF check from a customer of $250. The bank processes all checks written by the company by July 31 and lists them on the bank statement, except for one check totaling $1,460. The bank statement shows a balance of $22,490 on July 31.

Required:
1. Prepare a bank reconciliation to calculate the correct balance of cash on July 31, 2024.
2. Record the necessary entry(ies) to adjust the balance for cash.

Calculate the balance of cash using a bank reconciliation **(LO4–5)**

E4–10 On August 31, 2024, the general ledger of the Dean Acting Academy shows a balance for cash of $7,944. Cash receipts yet to be deposited into the checking account total $3,338. The company's balance of cash does not reflect a debit card payment for the purchase of postage expense ($75) or an electronic funds transfer for rent expense ($1,500). The bank statement also revealed the company recorded a debit card transaction for supplies of $400, but the actual amount was $500. These amounts are included in the balance of cash of $2,931 reported by the bank as of the end of August.

Required:
1. Prepare a bank reconciliation to calculate the correct ending balance of cash on August 31, 2024.
2. Record the necessary entry(ies) to adjust the balance for cash.

Calculate the balance of cash using a bank reconciliation **(LO4–5)**

E4–11 On October 31, 2024, Damon Company's general ledger shows a cash account balance of $8,397. The company's cash receipts for the month total $74,320, of which $71,295 has been deposited in the bank. In addition, the company has written checks for $3,467, of which $1,982 has been processed by the bank.

The bank statement reveals an ending balance of $11,727 and includes the following items not yet recorded by Damon: bank service fees of $150, note receivable collected by the bank of $5,000, and interest earned on the note of $320. After closer inspection, Damon realizes that the bank incorrectly charged the company's account $300 for an automatic withdrawal that should have been charged to another customer's account. The bank agrees to the error.

Required:
1. Prepare a bank reconciliation to calculate the correct ending balance of cash on October 31, 2024.
2. Record the necessary entries to adjust the balance for cash.

Record transactions for employee purchases **(LO4–6)**

E4–12 Halle's Berry Farm establishes a $200 petty cash fund on September 4 to pay for minor cash expenditures. The fund is replenished at the end of each month. At the end of September, the fund contains $30 in cash. The company has also issued a credit card and authorized its office manager to make purchases. Expenditures for the month include the following items:

Entertainment for office party (petty cash)	$170
Repairs and maintenance (credit card)	420
Postage (credit card)	575
Delivery cost (credit card)	285

Required:
1. Record the establishment of the petty cash fund on September 4.
2. Record credit card expenditures during the month. The credit card balance is not yet paid.
3. Record petty cash expenditures during the month.

Record transactions for employee purchases **(LO4–6)**

E4–13 T. L. Jones Trucking Services establishes a petty cash fund on April 3 for $200. By the end of April, the fund has a cash balance of $97. The company has also issued a credit card and authorized its office manager to make purchases. Expenditures for the month include the following items:

Utilities (credit card)	$435
Entertainment (petty cash)	44
Postage (petty cash)	59
Repairs and maintenance (credit card)	630

Required:

1. Record the establishment of the petty cash fund on April 3.
2. Record credit card expenditures during the month. The credit card balance is paid in full on April 30.
3. Record petty cash expenditures during the month.

Classify cash flows **(LO4–7)**

E4–14 Below are several transactions for Witherspoon Incorporated, a small manufacturer of decorative glass designs.

Transaction	Cash Involved? (yes or no)	Operating, Investing, or Financing? (if cash involved)	Inflow or Outflow?
a. Borrow cash from the bank.			
b. Purchase supplies on account.			
c. Purchase equipment with cash.			
d. Provide services on account.			
e. Pay cash on account for *b.* above.			
f. Sell for cash a warehouse no longer in use.			
g. Receive cash on account for *d.* above.			
h. Pay cash to workers for salaries.			

Required:

For each transaction, indicate (1) whether cash is involved (yes or no), and, if cash is involved, (2) whether Witherspoon should classify it as operating, investing, or financing in a statement of cash flows, and (3) whether the cash is an inflow or outflow. Enter N/A if the question is not applicable to the statement.

Calculate net cash flows **(LO4–7)**

E4–15 Below are several transactions for Meyers Corporation for 2024.

Transaction	Cash Flows	Operating, Investing, or Financing?
a. Issue common stock for cash, $60,000.		
b. Purchase building and land with cash, $45,000.		
c. Provide services to customers on account, $8,000.		
d. Pay utilities on building, $1,500.		
e. Collect $6,000 on account from customers.		
f. Pay employee salaries, $10,000.		
g. Pay dividends to stockholders, $5,000.		
Net cash flows for the year		

Required:

1. For each transaction, determine the amount of cash flows (indicate inflows with a "+" and outflows with a "−"). If cash is involved in the transaction, indicate whether Meyers should classify it as operating, investing, or financing in a statement of cash flows. Enter N/A if the question is not applicable to the statement.
2. Calculate net cash flows for the year.
3. Assuming the balance of cash on January 1, 2024, equals $5,400, calculate the balance of cash on December 31, 2024.

Calculate operating cash flows **(LO4–7)**

E4–16 Following are cash transactions for Goldman Incorporated, which provides consulting services related to mining of precious metals.

a. Cash used for purchase of office supplies, $2,400.
b. Cash provided from consulting to customers, $50,600.
c. Cash used for purchase of mining equipment, $83,000.
d. Cash provided from long-term borrowing, $70,000.
e. Cash used for payment of employee salaries, $25,000.
f. Cash used for payment of office rent, $13,000.
g. Cash provided from sale of equipment purchased in *c.* above, $23,500.
h. Cash used to repay a portion of the long-term borrowing in *d.* above, $45,000.
i. Cash used to pay office utilities, $5,300.
j. Purchase of company vehicle, paying $11,000 cash.

Required:
Calculate cash flows from operating activities.

E4–17 Refer to the information in E4–16.

Calculate investing cash flows **(LO4–7)**

Required:
Calculate cash flows from investing activities.

E4–18 Refer to the information in E4–16.

Calculate financing cash flows **(LO4–7)**

Required:
Calculate cash flows from financing activities.

E4–19 Consider the following information:

Compare operating cash flows to net income **(LO4–7)**

1. Service Revenue for the year = $80,000. Of this amount, $70,000 is collected during the year and $10,000 is expected to be collected next year.
2. Salaries Expense for the year = $40,000. Of this amount, $35,000 is paid during the year and $5,000 is expected to be paid next year.
3. Advertising Expense for the year = $10,000. All of this amount is paid during the year.
4. Supplies Expense for the year = $4,000. No supplies were purchased during the year.
5. Utilities Expense for the year = $12,000. Of this amount, $11,000 is paid during the year and $1,000 is expected to be paid next year.
6. Cash collected in advance from customers for services to be provided next year (Unearned Revenue) = $2,000.

Required:
1. Calculate operating cash flows.
2. Calculate net income.
3. Explain why these two amounts differ.

E4–20 Below are amounts (in millions) for Glasco Company and Sullivan Company.

Analyze the ratio of cash to noncash assets **(LO4–8)**

	GLASCO COMPANY		SULLIVAN COMPANY	
Year	Operating Cash Flows	Foreign Revenues	Operating Cash Flows	Foreign Revenues
1	$450	$700	$280	$0
2	$130	$750	$300	$0
3	$320	$800	$320	$0

Both companies have total revenues of $2,500, $3,000, and $3,500 in each year.

Required:
Make a prediction as to which firm will have the higher ratio of cash to noncash assets at the end of year 3.

PROBLEMS: SET A

Discuss control procedures for cash receipts **(LO4–4)**

P4–1A The Carmike 8 Cinema is a modern theatre located close to a college campus. The cashier, located in a box office at the theatre entrance, receives cash from customers and operates a machine that ejects serially numbered tickets for each film. Customers then enter the theatre lobby where they can purchase refreshments at the concession stand. To gain admission to the movie, a customer hands the ticket to a ticket taker stationed some 50 feet from the box office at the theatre lobby entrance. The ticket taker tears the ticket in half, returns the stub to the customer, and allows the customer to enter the theatre hallway through a turnstile, which has an automatic counter of people entering. The ticket taker drops the other half of the ticket stub into a locked box.

Required:

1. What internal controls are present in the handling of cash receipts?
2. What steps should the theatre manager take regularly to give maximum effectiveness to these controls?
3. Assume the cashier and the ticket taker decide to work together in an effort to steal from the movie theatre. What action(s) might they take?
4. For each idea proposed in number 3 above, what additional control features could Carmike 8 Cinema add to catch the thieves and reduce the risk of future thefts?

Prepare the bank reconciliation and record cash adjustments **(LO4–5)**

P4–2A Oscar's Red Carpet Store maintains a checking account with Academy Bank. Oscar's sells carpet each day but makes bank deposits only once per week. The following provides information from the company's cash ledger for the month ending February 28, 2024.

	Date	Amount		NO.	Date	Amount
Deposits:	2/4	$ 2,700	Checks:	323	2/12	$ 2,500
	2/11	2,300		324	2/19	2,200
	2/18	3,200		325	2/27	200
	2/25	4,100		326	2/28	700
Cash receipts:	2/26–2/28	1,600		327	2/28	1,900
		$ 13,900				$ 7,500

Balance on February 1	$ 6,800
Receipts	13,900
Disbursements	(7,500)
Balance on February 28	$ 13,200

Information from February's bank statement and company records reveals the following additional information:

a. The ending cash balance recorded in the bank statement is $13,145.
b. Cash receipts of $1,600 from 2/26–2/28 are outstanding.
c. Checks 325 and 327 are outstanding.
d. The deposit on 2/11 includes a customer's check for $200 that did not clear the bank (NSF check).
e. Check 323 was written for $2,800 for advertising in February. The bank properly recorded the check for this amount.
f. An EFT withdrawal for Oscar's February rent was made on February 4 for $1,100.
g. Debit card transactions include $4,700 for legal fees expense and $400 for entertainment expense.
h. In January, one of Oscar's suppliers, Titanic Fabrics, borrowed $6,000 from Oscar. On February 24, Titanic paid $6,270 ($6,000 borrowed amount plus $270 interest) directly to Academy Bank in payment for January's borrowing.
i. Academy Bank charged service fees of $125 to Oscar's for the month.

Required:
1. Prepare a bank reconciliation for Oscar's checking account on February 28, 2024.
2. Record the necessary cash adjustments.

P4–3A The cash records and bank statement for the month of May for Diaz Entertainment are shown below.

Prepare the bank reconciliation and record cash adjustments **(LO4–5)**

DIAZ ENTERTAINMENT
Cash Account Records
May 1, 2024, to May 31, 2024

Cash Balance May 1, 2024	+	Cash Receipts	−	Cash Disbursements	=	Cash Balance May 31, 2024
$5,280		$12,040		$12,220		$5,100

Cash Receipts

Date	Desc.	Amount
5/3	Sales	$ 1,460
5/10	Sales	1,890
5/17	Sales	2,520
5/24	Sales	2,990
5/31	Sales	3,180
		$12,040

Cash Disbursements

Date	Desc.	Memo	Amount
5/7	DC	Legal fees	$ 1,300
5/12	DC	Property tax	1,670
5/15	DC	Salaries	3,600
5/22	DC	Advertising	1,500
5/30	CHK #471	Supplies	550
5/31	CHK #472	Salaries	3,600
			$12,220

P.O. Box 162647
Bowlegs, OK 74830
(405) 369-CASH

Midwest Bank
Looking Out For You

Member FDIC

Account Holder: Diaz Entertainment
124 Saddle Blvd.
Bowlegs, OK 74830

Account Number: 7772854360
Statement Date: May 31, 2024

Account Summary

Beginning Balance May 1, 2024	Deposits and Credits No.	Deposits and Credits Total	Withdrawals and Debits No.	Withdrawals and Debits Total	Ending Balance May 31, 2024
$6,260	7	$10,050	9	$10,100	$6,210

Account Details

Deposits and Credits Date	Amount	Desc.	Withdrawals and Debits Date	No.	Amount	Desc.	Daily Balance Date	Amount
5/4	$ 1,460	DEP	5/1	469	$ 550	CHK	5/1	$5,710
5/11	1,890	DEP	5/2	470	430	CHK	5/2	5,280
5/18	2,520	DEP	5/7		1,300	DC	5/4	6,740
5/20	1,100	NOTE	5/11		400	NSF	5/9	5,440
5/20	60	INT	5/12		1,670	DC	5/11	6,930
5/25	2,990	DEP	5/15		3,600	DC	5/12	5,260
5/31	30	INT	5/20		600	EFT	5/18	4,180
			5/22		1,500	DC	5/20	4,740
			5/31		50	SF	5/25	6,230
	$10,050				$10,100		5/31	$6,210

Desc. **DEP** Customer deposit; **NOTE** Note collected; **EFT** Electronic funds transfer; **INT** Interest earned; **CHK** Customer check; **DC** Debit card; **SF** Service fees; **NSF** Nonsufficient funds

Additional information:

a. The difference in the beginning balances in the company's records and the bank statement relates to checks #469 and #470, which are outstanding as of April 30, 2024 (prior month).
b. The bank made the EFT on May 20 in error. The bank accidentally charged Diaz for payment that should have been made on another account.

Required:

1. Prepare a bank reconciliation for Diaz's checking account on May 31, 2024.
2. Record the necessary cash adjustments.

Prepare the statement of cash flows (LO4–7)

P4–4A Below is a summary of all transactions of Pixar Toy Manufacturing for the month of August 2024.

Cash Transactions	
Cash collections from:	
Customers	$ 93,500
Sale of unused warehouse	36,000
Bank borrowing	26,000
Cash payments for:	
Employee salaries	(65,300)
Office rent	(19,000)
Manufacturing equipment	(46,000)
Office utilities	(11,800)
Dividends to stockholders	(6,700)
Materials to make toys	(27,700)
Noncash Transactions	
Sales to customers on account	16,400
Purchase of materials on account	13,900
Purchase equipment with promissory note to pay later	18,500

Required:

Prepare a statement of cash flows for the month of August 2024, properly classifying each of the transactions into operating, investing, and financing activities. The cash balance at the beginning of August is $25,500.

Record transactions, post to the Cash T-account, and prepare the statement of cash flows (LO4–7)

P4–5A Rocky owns and operates Balboa's Gym located in Philadelphia. The following transactions occur for the month of October:

1.	October 2	Receive membership dues for the month of October totaling $8,500.
2.	October 5	Issue common stock in exchange for cash, $12,000.
3.	October 9	Purchase additional boxing equipment for $9,600, paying one-half of the amount in cash and issuing a note payable to the seller for the other one-half due by the end of the year.
4.	October 12	Pay $1,500 for advertising regarding a special membership rate available during the month of October.
5.	October 19	Pay dividends to stockholders, $4,400.
6.	October 22	Pay liability insurance to cover accidents to members for the next six months, starting November 1, $6,900.
7.	October 25	Receive cash in advance for November memberships, $5,600.
8.	October 30	Receive, but do not pay, utilities bill for the month, $5,200.
9.	October 31	Pay employees' salaries for the month, $7,300.

Required:

1. Record each transaction.
2. Identify the transactions involving cash.

3. Assuming the balance of cash at the beginning of October is $16,600, post each cash transaction to the Cash T-account and compute the ending cash balance.
4. Prepare a statement of cash flows for the month of October, properly classifying each of the cash transactions into operating, investing, and financing activities.
5. Verify that the net cash flows reported in the statement of cash flows equal the change in the cash balance for the month.

PROBLEMS: SET B

Mc Graw Hill connect

P4–1B At the end of February, Howard Productions' accounting records reveal a balance for cash equal to $19,225. However, the balance of cash in the bank at the end of February is only $735. Howard is concerned and asks the company's accountant to reconcile the two balances. Examination of the bank statement and company records at the end of February reveals the following information:

Prepare a bank reconciliation and discuss cash procedures **(LO4–4, 4–5)**

NSF checks from customers	$5,278	Service fees	$159
Deposits outstanding	7,692	Checks outstanding	489

In addition, during February the company's accountant wrote a check to one of its suppliers for $150. The check was recorded correctly in the company's records for $150 but processed incorrectly by the bank for $1,500. Howard has contacted the bank, which has agreed to fix the error. Finally, a petty cash fund of $4,500 was established during February. This amount was withdrawn from the checking account but not recorded.

Required:
1. Calculate the correct ending balance of cash at the end of February.
2. Discuss any problems you see with the company's cash procedures.

P4–2B On October 31, 2024, the bank statement for the cash account of Blockwood Video shows a balance of $12,751, while the company's records show a cash balance of $12,381. Information that might be useful in preparing a bank reconciliation is as follows:

Prepare the bank reconciliation and record cash adjustments **(LO4–5)**

a. Outstanding checks are $1,280.
b. The October 31 cash receipts of $835 are not deposited in the bank until November 2.
c. The EFT payment for utilities of $147 is correctly recorded by the bank but is recorded by Blockwood as a disbursement of $174.
d. In accordance with prior authorization, the bank withdraws $560 directly from the account as payment on a note payable. The interest portion of that payment is $60 and the principal portion is $500. Blockwood has not recorded the direct withdrawal.
e. Bank service fees of $34 are listed on the bank statement.
f. A deposit of $577 is recorded by the bank on October 13, but it did not belong to Blockwood. The deposit should have been made to the account of Hollybuster Video, a separate company.
g. The bank statement includes a charge of $85 for an NSF check from a customer. The check is returned with the bank statement, and the company will seek payment from the customer.

Required:
1. Prepare a bank reconciliation for the Blockwood checking account on October 31, 2024.
2. Record the necessary cash adjustments.

P4–3B The cash records and bank statement for the month of July for Glover Incorporated are shown next.

Prepare the bank reconciliation and record cash adjustments **(LO4–5)**

GLOVER INCORPORATED
Cash Account Records
July 1, 2024, to July 31, 2024

Cash Balance July 1, 2024		Cash Receipts		Cash Disbursements		Cash Balance July 31, 2024
$7,510	+	$8,720	−	$10,560	=	$5,670

Cash Receipts

Date	Desc.	Amount
7/9	Sales	$2,660
7/21	Sales	3,240
7/31	Sales	2,820
		$8,720

Cash Disbursements

Date	Desc.	Memo	Amount
7/7	EFT	Rent	$ 1,600
7/12	EFT	Salaries	2,060
7/19	DC	Equipment	4,500
7/22	CHK #531	Utilities	1,000
7/30	CHK #532	Advertising	1,400
			$10,560

P.O. Box 123878
Gotebo, OK 73041
(580) 377-OKIE

Fidelity Union
You Can Bank On Us

Member FDIC

Account Holder: Glover Incorporated
519 Main Street
Gotebo, OK 73041

Account Number: 2252790471
Statement Date: July 31, 2024

Beginning Balance July 1, 2024	Deposits and Credits No.	Deposits and Credits Total	Withdrawals and Debits No.	Withdrawals and Debits Total	Ending Balance July 31, 2024
$8,200	3	$5,960	7	$10,410	$3,750

Deposits and Credits

Date	Amount	Desc.
7/10	$2,660	DEP
7/22	3,240	DEP
7/31	60	INT
	$5,960	

Withdrawals and Debits

Date	No.	Amount	Desc.
7/2	530	$ 690	CHK
7/7		1,600	EFT
7/12		2,060	EFT
7/18		500	NSF
7/19		4,900	DC
7/26		600	EFT
7/30		60	SF
		$10,410	

Daily Balance

Date	Amount
7/2	$7,510
7/10	8,570
7/14	6,510
7/18	6,010
7/22	4,350
7/26	3,750
7/30	3,690
7/31	$3,750

Desc. **DEP** Customer deposit; **NOTE** Note collected; **EFT** Electronic funds transfer; **INT** Interest earned; **CHK** Customer check; **DC** Debit card; **SF** Service fees; **NSF** Nonsufficient funds

Additional information:

a. The difference in the beginning balances in the company's records and the bank statement relates to check #530, which is outstanding as of June 30, 2024.
b. The debit card transaction for the purchase of equipment on 7/19 is correctly processed by the bank.
c. The EFT on July 26 in the bank statement relates to the purchase of office supplies.

Required:

1. Prepare a bank reconciliation for Glover's checking account on July 31, 2024.
2. Record the necessary cash adjustments.

Prepare the statement of cash flows **(LO4–7)**

P4–4B Following is a summary of all transactions of Dreamworks Bedding Supplies for the month of August 2024.

Cash Transactions	
Cash collections from:	
Customers	$ 80,400
Sale of unused land	15,700
Issuance of common stock	30,000
Interest earned on savings account	300
Cash payments for:	
Employee salaries	(47,100)
Delivery truck	(34,500)
Advertising expense	(5,900)
Office supplies	(3,800)
Repayment of borrowing	(9,000)
Bedding material	(13,000)
Noncash Transactions	
Sales to customers on account	12,300
Purchase of materials on account	8,400
Purchase equipment with promissory note to pay later	92,000

Required:
Prepare a statement of cash flows for the month of August, properly classifying each of the transactions into operating, investing, and financing activities. The cash balance at the beginning of August is $8,300.

P4–5B Peter loves dogs and cats. For the past several years, he has owned and operated Homeward Bound, which temporarily houses pets while their owners go on vacation. For the month of June, the company has the following transactions:

Record transactions, post to the Cash T-account, and prepare the statement of cash flows (LO4–7)

1.	June 2	Obtain cash by borrowing $19,000 from the bank by signing a note.
2.	June 3	Pay rent for the current month, $1,200.
3.	June 7	Provide services to customers, $5,200 for cash and $3,500 on account.
4.	June 11	Purchase cages and equipment necessary to maintain the animals, $8,400 cash.
5.	June 17	Pay employees' salaries for the first half of the month, $6,500.
6.	June 22	Pay dividends to stockholders, $1,550.
7.	June 25	Receive cash in advance from a customer who wants to house his two dogs (Chance and Shadow) and cat (Sassy) while he goes on vacation the month of July, $2,100.
8.	June 28	Pay utilities for the month, $3,300.
9.	June 30	Record salaries earned by employees for the second half of the month, $6,500. Payment will be made on July 2.

Required:
1. Record each transaction.
2. Identify the transactions involving cash.
3. Assuming the balance of cash at the beginning of June is $14,700, post each cash transaction to the Cash T-account and compute the ending cash balance.
4. Prepare a statement of cash flows for the month of June, properly classifying each of the cash transactions into operating, investing, and financing activities.
5. Verify that the net cash flows reported in the statement of cash flows equal the change in the cash balance for the month.

REAL-WORLD PERSPECTIVES

Data Analytics & Excel

Visit Connect to find a variety of Data Analytics questions that help build Excel, Tableau, and data visualization skills. Assignable materials include Integrated Excel, Applying Excel, Data Visualizations, Tableau Dashboard Activities, and Applying Tableau cases.

General Ledger Continuing Case

Great Adventures

(This is a continuation of the Great Adventures problem from earlier chapters.)

RWP–1 An examination of the cash activities during the year shows the following.

GREAT ADVENTURES
Cash Account Records
July 1, 2024, to December 31, 2024

Cash Receipts			Cash Disbursements			
Date	**Desc.**	**Amount**	**Date**	**Check#**	**Desc.**	**Amount**
7/1	Stock sale	$ 20,000	7/1	101	Insurance	$ 4,800
7/15	Clinic receipts	2,000	7/2	102	Legal fees	1,500
7/22	Clinic receipts	2,300	7/7	DC	Advertising	300
7/30	Clinic receipts	4,000	7/8	103	Bikes	12,000
8/1	Borrowing	30,000	7/24	DC	Advertising	700
8/10	Clinic receipts	3,000	8/4	104	Kayaks	28,000
8/17	Clinic receipts	10,500	8/24	DC	Office supplies	1,800
9/21	Clinic receipts	13,200	9/1	105	Rent	2,400
10/17	Clinic receipts	17,900	12/8	106	Race permit	1,200
12/15	Race receipts	20,000	12/16	107	Salary	2,000
			12/31	108	Dividend	2,000
			12/31	109	Dividend	2,000
		$122,900				$58,700

SUMMARY OF TRANSACTIONS

Beginning Cash Balance July 1, 2024		Cash Receipts		Cash Disbursements		Ending Cash Balance December 31, 2024
$0	+	$122,900	−	$58,700	=	$64,200

Suzie has not reconciled the company's cash balance with that of the bank since the company was started. She asks Summit Bank to provide her with a six-month bank statement. To save time, Suzie makes deposits at the bank only on the first day of each month.

After comparing the two balances, Suzie has some concern because the bank's balance of $50,500 is substantially less than the company's balance of $64,200.

Required:

1. Discuss any problems you see with Great Adventures' internal control procedures related to cash.
2. Prepare Great Adventures' bank reconciliation for the six-month period ended December 31, 2024, and any necessary entries to adjust cash.
3. How did failure to reconcile the bank statement affect the reported amounts for assets, liabilities, stockholders' equity, revenues, and expenses?

Summit Bank
Leading You to the Top
Member FDIC

Account Holder: Great Adventures, Inc.

Account Number: 1124537774
Statement Date: Dec. 31, 2024

Account Summary

Beginning Balance July 1, 2024	Deposits and Credits No.	Deposits and Credits Total	Withdrawals and Debits No.	Withdrawals and Debits Total	Ending Balance December 31, 2024
$0	8	$103,400	11	$52,900	$50,500

Account Details

Deposits and Credits Date	Amount	Desc.	Withdrawals and Debits Date	No.	Amount	Desc.	Daily Balance Date	Amount
7/1	$ 20,000	DEP	7/1	101	$ 4,800	CHK	7/1	$15,200
8/1	8,300	DEP	7/7	102	1,500	CHK	7/7	13,400
8/1	30,000	DEP	7/7		300	DC	7/14	1,400
9/1	13,500	DEP	7/14	103	12,000	CHK	7/24	700
9/30	200	INT	7/24		700	DC	8/1	39,000
10/1	13,200	DEP	8/9	104	28,000	CHK	8/9	11,000
11/1	17,900	DEP	8/24		1,800	DC	8/24	9,200
12/31	300	INT	9/2	105	2,400	CHK	9/1	22,700
			9/30		100	SF	9/2	20,300
			12/10	106	1,200	CHK	9/30	20,400
			12/31		100	SF	10/1	33,600
							11/1	51,500
							12/10	50,300
	$103,400				$52,900		12/31	$50,500

Desc. **DEP** Customer deposit **INT** Interest earned **SF** Service fees
CHK Customer check **DC** Debit card

American Eagle Outfitters, Inc.

Financial Analysis Continuing Case

RWP4–2 Financial information for **American Eagle** is presented in **Appendix A** at the end of the book.

Required:
1. What does the Report of Independent Registered Public Accounting Firm indicate about American Eagle's internal controls?
2. In the summary of significant accounting policies, how does American Eagle define cash equivalents?
3. What is the amount of cash reported in the two most recent years? By how much has cash increased/decreased?
4. Determine the amounts American Eagle reports for net cash flows from operating activities, investing activities, and financing activities in its statement of cash flows for the most recent year. What are total cash flows for the year for continuing operations?
5. Compare your answers in *Question* 4 to the increase/decrease you calculated in *Question* 3. (Note: Include any effect of exchange rates on cash as an additional cash flow in *Question* 4.)
6. What is American Eagle's ratio of cash to noncash assets?

Financial Analysis Continuing Case

The Buckle, Inc.

RWP4–3 Financial information for **Buckle** is presented in **Appendix B** at the end of the book.

Required:

1. What does the Report of Independent Registered Public Accounting Firm indicate about Buckle's internal controls?
2. In the summary of significant accounting policies, how does Buckle define cash equivalents?
3. What is the amount of cash reported in the two most recent years? By how much has cash increased/decreased?
4. Determine the amounts Buckle reports for net cash flows from operating activities, investing activities, and financing activities in its statement of cash flows for the most recent year. What are total cash flows for the year?
5. Compare your answers in *Question* 4 to the increase/decrease you calculated in *Question* 3. (Note: Include any effect of exchange rates on cash as an additional cash flow in *Question* 4.)
6. What is Buckle's ratio of cash to noncash assets?

Comparative Analysis Continuing Case

American Eagle Outfitters, Inc., vs. The Buckle, Inc.

RWP4–4 Financial information for **American Eagle** is presented in **Appendix A** at the end of the book, and financial information for **Buckle** is presented in **Appendix B** at the end of the book.

Required:

1. Which company has a higher ratio of cash to noncash assets? What might this mean about the two companies' operations?
2. Which company has a higher ratio of cash to current liabilities? What might this mean about the two companies' ability to pay debt?

EDGAR Research

RWP4–5 Using EDGAR (Electronic Data Gathering, Analysis, and Retrieval system), find the annual report (10-K) for **The Kroger Company** for the year ended **February 1, 2020.** Locate the "Consolidated Balance Sheets" and "Consolidated Statements of Cash Flows." You may also find the annual report at the company's website. Financial accounting information can often be found at financial websites. These websites are useful for collecting information about a company's stock price, analysts' forecasts, dividend history, historical financial accounting information, and much more. One such site is Yahoo! Finance (**finance.yahoo.com**).

Required:

1. Determine Kroger's cash flows from (a) operating activities, (b) investing activities, and (c) financing activities for the most recent year.
2. From the balance sheet, determine the change in cash for the most recent year.
3. Does the company's total cash flows equal the change in the balance of cash shown on the first line of the balance sheet this year versus last year?
4. Does the company's auditor state that the company has maintained "effective internal control over financial reporting" in the Report of Independent Registered Public Accounting Firm?

Ethics

RWP4–6 Between his freshman and sophomore years of college, Jack takes a job as ticket collector at a local movie theatre. Moviegoers purchase a ticket from a separate employee outside the theatre and then enter through a single set of doors. Jack takes half their ticket, and they proceed to the movie of their choice.

Besides trying to earn enough money for college the next year, Jack loves to watch movies. One of the perks of working for the movie theatre is that all employees are allowed to watch one free movie per day. However, the employee handbook states that friends and family of employees are not allowed to watch free movies. In addition, employees must pay full price for all concession items.

Soon after starting work at the theatre, Jack notices that most other employees regularly bring their friends and family to the movie without purchasing a ticket. When Jack stops them at the door to ask for their ticket, they say, "Jack, no one really follows that policy. Just be cool and let us in. You can do the same." Jack even notices that upper management does not follow the policy of no family and friends watching free movies. Furthermore, employees commonly bring their own cups to get free soft drinks and their own containers to eat free popcorn.

Jack considers whether he should also start bringing friends and family and enjoying the free popcorn and beverages. He reasons, "Why should I be the only one following the rules? If everyone else is doing it, including upper management, what harm would it be for me to do it too? After all, when you watch a movie, you aren't really stealing anything, and popcorn and drinks cost hardly anything. Plus, I really need to save for college."

Required:

1. Understand the effect: Does allowing free entrance and free concessions violate company policy?
2. Specify the options: Can Jack choose to follow the company's written policies?
3. Identify the impact: Does upper management's violation of the policy likely impact other employees?
4. Make a decision: Should Jack follow the company's policies?

Written Communication

RWP4–7 Consider the following independent situations:

1. John Smith is the petty-cash custodian. John approves all requests for payment out of the $200 fund, which is replenished at the end of each month. At the end of each month, John submits a list of all accounts and amounts to be charged, and a check is written to him for the total amount. John is the only person ever to tally the fund.
2. All of the company's cash disbursements are made by check. Each check must be supported by an approved voucher, which is, in turn, supported by the appropriate invoice and, for purchases, a receiving document. The vouchers are approved by Dean Leiser, the chief accountant, after reviewing the supporting documentation. Betty Hanson prepares the checks for Leiser's signature. Leiser also maintains the company's check register (the cash disbursements journal) and reconciles the bank account at the end of each month.
3. Fran Jones opens the company's mail and lists all checks and cash received from customers. A copy of the list is sent to Jerry McDonald, who maintains the general ledger accounts. Fran prepares and makes the daily deposit at the bank. Fran also maintains the subsidiary ledger for accounts receivable, which is used to generate monthly statements to customers.

Required:

Write a memo to your instructor indicating the apparent internal control weaknesses and suggest alternative procedures to eliminate the weaknesses.

Answers to Chapter Framework Questions

1. c 2. a 3. c 4. b 5. c

Answers to Self-Study Questions

1. d 2. d 3. a 4. d 5. b 6. b 7. b 8. d 9. a 10. a 11. c 12. b 13. d 14. c 15. d